

Singapore Banks

Many moving parts for the sector, tactical downgrade of DBS to Neutral

Wealth management, rates, asset quality, capital management and valuations are in varying degrees of shift, which should weigh on the sector for the next few months. On WM, the structural upside is intact, but the recent policy moves from China ([link](#), [link](#)) could lead to slower NNMg in 2027 and onward, which should limit re-rating for now. Rates appear to be bottoming, with 3M SORA possibly finding a floor closer to 1%. This is quite positive for revisions and a key driver of the recent re-rating. Yet moves in SORA depend on Fed rates, flows into Singapore and SGD appreciation, which makes further revisions less clear. On AQ, EM ASEAN exposure is a source of small, but incremental risk, as well as parts of the portfolio impacted by energy prices. On capital management, we seem to have reached a degree of status quo across banks, which means this may not be as important a factor in stock price moves near-term. Finally, OCBC and DBS are trading close to multi-year-high PEs/PBs (UOB lower, but for a reason, we believe). This combination of sector trends and valuations is creating conditions for re-rating to take a pause. We are UW on OCBC and UOB, and tactically downgrade DBS to Neutral. Our preference is still DBS among banks for the medium term, while we stay OW on SGX.

- Wealth Management:** China's new regulation (Doc 837) on outbound direct investment (ODI) appears to have broad implications for NNMg for banks over time. A few things stand out: (1) the definition of "Chinese Mainland Residents" (CMR) appears broader than our understanding of market consensus; (2) the possibility of higher filing requirements for CMRs, potentially including existing funds, which may become clearer over time as new regulations emerge; and (3) a limited possibility of a relaxation of the prohibition on the use of RMB-converted funds for investment purposes. Please see [here](#) for detailed takeaways from a legal expert and [here](#) for a summary of Doc 837. Less than 30% of NNM over the last few quarters at DBS has come from China nationals, per the bank. We assume a similar mix across the three SG banks and expect NNMg to be steady this year, as some of the fund flow may accelerate in anticipation of stricter requirements. But we reduce our AUMg forecasts for 2027/28 to 5-8%.
- Rates:** Fed fund futures for Jan-27 price in 1.28 hikes at the time of writing vs. 2 cuts earlier in the year. Yet a higher Fed rate does not, on its own, lead to higher NII or NIM. For DBS, higher Fed rates could lead to **lower** NII (every bp increase in SOFR leads to a S\$4mn decline in NII on an annual basis, all else equal) due to hedges. We expect a limited direct impact for UOB and OCBC. Yet to the extent higher Fed rates lead to higher SORA, it is positive for NII/pretax for the three banks (1.4% to 2.1% for 25bps). Hibor moves tend to have a relatively smaller impact on NII/NIM for OCBC and DBS, as they have close

APAC Banks

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev End Date	
DBS Group Holdings	DBS SP	140,746	SGD	63.76	N	OW	64.00	Jun-27	n/c	n/c
OCBC Bank	OCBC SP	82,942	SGD	23.80	UW	n/c	20.00	Jun-27	n/c	n/c
United Overseas Bank (UOB)	UOB SP	49,217	SGD	38.38	UW	n/c	35.00	Jun-27	33.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 09 Jun 26.

See page 31 for analyst certification and important disclosures, including non-US analyst disclosures.

to matched ALM in HK due to retail presence, but a bit more impact on UOB due to HKD asset funding via swaps, but that is declining.

- **Flows/SGD:** In addition to rates, SORA moves are negatively correlated to better flows into Singapore. Further, if the SGD strengthens amid better flows, it could lead to lower pressure on SORA. Tying it all together, weaker flows and a firmer SGD would be best for SORA/banks' NIM and vice versa.
- **Asset quality:** 1Q26 NPL formation was relatively benign, but we expect a degree of stress on cash flows across borrowers to show up in 2Q26 and onward, accompanied by higher loan growth. The key risk is in EM ASEAN and India portfolios, with a degree of risk for sectors like agriculture, construction, hospitality, energy traders, et al. We factor in 18-32bps credit costs for this year. It is unclear which bank would have higher NPL formation in 2Q/2H, but the bias of risk appears to be more for UOB and OCBC, given higher EM ASEAN exposure. OCBC's acquisition of HSBC Indonesia right when the economy and FX are weakening could be a small source of risk.
- **Capital Management:** The payout ratios for UOB and OCBC are clear at 50%, and DBS appears to be on track for a 6c increase in quarterly DPS in 4Q26. On special, there are limited expectations at UOB (possible if the bank sells AM business), the remaining buyback amount for OCBC (S\$780mn, 0.7% of MCap, ~10% of 2026E profits, 17c) is quite likely, while the timing of special for DBS is unclear between 2026/27. We assume that the remaining S\$2.6bn budget will be used equally this year and next year across buyback and special (S\$2.6bn, 1.4% of MCap, 23% of 2026E profits). On buyback, UOB is active as multiples are low, while we do not see OCBC doing any this year or next year. More importantly, given that most of the capital management is done or discounted, the stocks are not necessarily moving as much on small DY differentials. This is a meaningful shift that could hold for a while.
- **Valuations:** DBS at a 16.1x/2.6x 2026E PE/PB and a 5.5% DY is close to historical highs on earnings and book, but not on dividends. The situation is similar for OCBC at a 14.4x/1.7x 2026 PE/PB and a 4.2% DY. OCBC is up 20% YTD, while DBS is up 13% YTD (vs. 8% for STI). The performance, multiples and possibility of a stall in EPS revisions limit near-term upside for DBS, in our view, while opening downside for OCBC. We remain cautious on UOB in the medium term, as the bank has lagged peers in WM.

Re-rating to pause; downgrade DBS to Neutral

Wealth management, rates, asset quality, capital management and valuations are in varying degrees of shift, which should weigh on the sector for the next few months. On WM, the structural upside is intact, but the recent policy moves from China ([link](#), [link](#)) could lead to slower NNMg in 2027 and onward, which should limit re-rating for now. Rates appear to be bottoming, with 3M SORA possibly finding a floor closer to 1%. This is quite positive for revisions and a key driver of the recent re-rating. Yet moves in SORA depend on Fed rates, flows into Singapore and SGD appreciation, which makes further revisions less clear. On AQ, EM ASEAN exposure is a source of small, but incremental risk, as well as parts of the portfolio impacted by energy prices. On capital management, we seem to have reached a degree of status quo across banks, which means this may not be as important a factor in stock price moves near-term. Finally, OCBC and DBS are trading close to multi-year-high PEs/PBs (UOB lower, but for a reason, we believe). This combination of sector trends and valuations is creating conditions for re-rating to take a pause. We are UW on OCBC and UOB, and tactically downgrade DBS to Neutral. Our preference is still DBS among banks for the medium term, while we stay OW on SGX.

Tactically downgrade DBS to Neutral

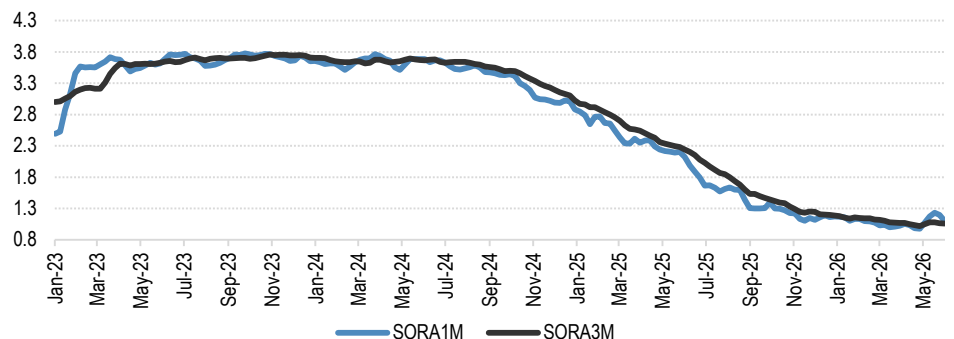
Table 1: Singapore banks: PTs, rating changes and JPMe vs. Street EPS

	EPSg y/y			JPM vs Street			Old	New	Old PT	New PT	Change
	2026E	2027E	2028E	2026E	2027E	2028E	Rating	Rating	(\$)	(\$)	in PT
DBS	2%	5%	7%	0%	-1%	-1%	OW	N	64.0	64.0	0%
OCBC	1%	4%	8%	-2%	-4%	-3%	UW	UW	20.0	20.0	0%
UOB	21%	8%	11%	-2%	-2%	1%	UW	UW	33.0	35.0	6%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

SORA appears to be stabilizing close to ~1%

Figure 1: SORA trends



Source: Bloomberg Finance L.P.

Figure 2: Singapore banks: 12M fwd P/E

	DBS	OCBC	UOB	SGX
Current PE	15.7x	13.7x	10.9x	30.0x
5Y Mean	10.8x	9.5x	9.5x	22.2x
5Y SD	1.85	1.38	1.01	2.89
Current vs Mean	2.7 SD	3.0 SD	1.5 SD	2.7 SD
10Y Mean	10.7x	10.0x	10.1x	21.7x
10Y SD	1.48	1.22	1.08	2.20
Current vs Mean	3.4 SD	3.0 SD	0.8 SD	3.7 SD

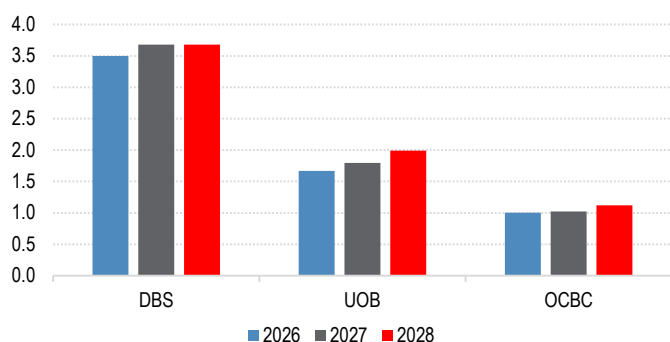
Source: Bloomberg Finance L.P.

Figure 3: Singapore banks: 12M fwd P/B

	DBS	OCBC	UOB	SGX
Current PB	2.55x	1.63x	1.18x	8.60x
5Y Mean	1.60x	1.14x	1.09x	6.33x
5Y SD	0.33	0.26	0.08	0.90
Current vs Mean	2.9 SD	1.9 SD	1.2 SD	2.5 SD
10Y Mean	1.38x	1.49x	1.07x	6.79x
10Y SD	0.34	0.42	0.10	0.82
Current vs Mean	3.4 SD	0.3 SD	1.1 SD	2.2 SD

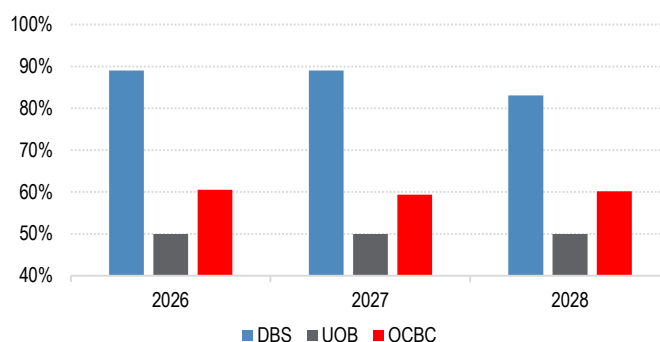
Source: Bloomberg Finance L.P.

Figure 4: Singapore banks: DPS outlook



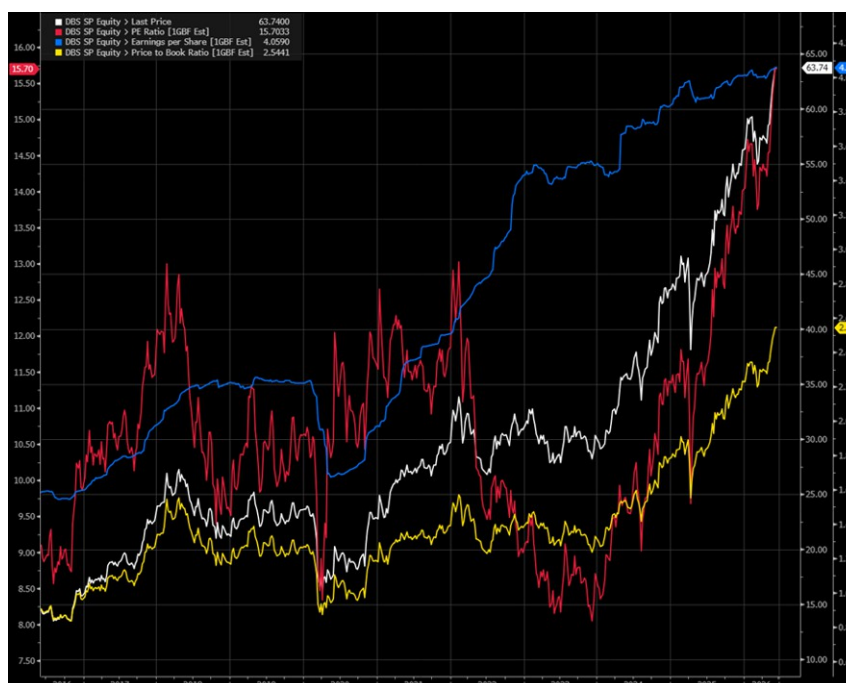
Source: J.P. Morgan estimates.

Figure 5: Singapore banks: Payout outlook



Source: J.P. Morgan estimates.

Figure 6: DBS: Price performance, valuation and EPS trends



Source: Bloomberg Finance L.P.

Figure 7: OCBC: Price performance, valuation and EPS trends



Source: Bloomberg Finance L.P.

Figure 8: UOB: Price performance, valuation and EPS trends



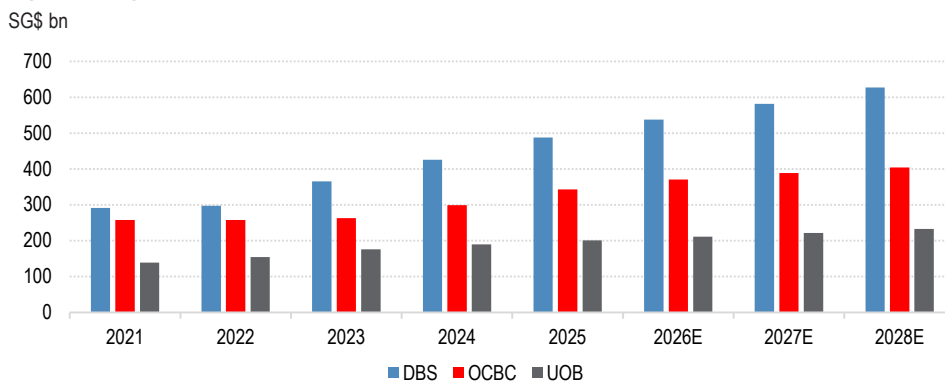
Source: Bloomberg Finance L.P.

China policy moves could temper net new money growth

China's new regulation (Doc 837) on outbound direct investment (ODI) appears to have broad implications for NNMg for banks over time. A few things stand out: (1) the definition of "Chinese Mainland Residents" (CMR) appears broader than our understanding of market consensus; (2) the possibility of higher filing requirements for CMRs, potentially including existing funds, which may become clearer over time as new regulations emerge; and (3) a limited possibility of a relaxation of the prohibition on the use of RMB-converted funds for investment purposes. Please see [here](#) for detailed takeaways from a legal expert and [here](#) for a summary of Doc 837. Less than 30% of NNM over the last few quarters at DBS has come from China nationals, per the bank. We assume a similar mix across the three SG banks and expect NNMg to be steady this year, as some of the fund flow may accelerate in anticipation of stricter requirements. But we reduce our AUMg forecasts for 2027/28 to 5-8%.

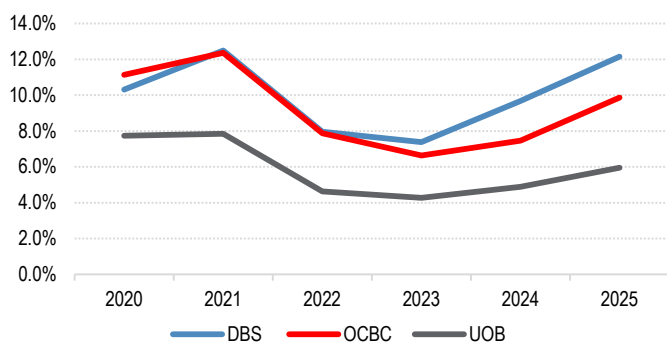
Expect AUM growth to slow in 2027-28

Figure 9: Singapore banks: AUM trends



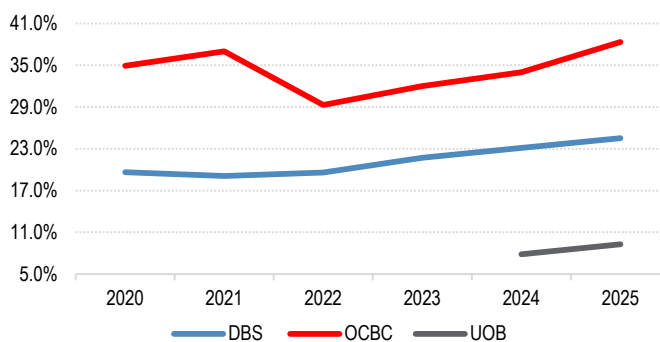
Source: Company data and J.P. Morgan estimates.

Figure 10: Singapore banks: Contribution of wealth fees to revenue



Source: Company data.

Figure 11: Singapore banks: Contribution of wealth income to revenue



Source: Company data. Note: Wealth income based on company classification. OCBC includes insurance income.

Sensitivity analysis

Based on our sensitivity analysis, each 5% decline in WM fees could lead to ~1% lower EPS, while each 5% decline in overall wealth income could lead to a 1-3% EPS impact, all else equal, with the largest impact at OCBC.

Table 2: Singapore banks: Sensitivity to changes in Wealth fees

S\$ mn	DBS	OCBC	UOB
WM fees	2,814	1,443	822
<i>% change in WM fees</i>	<i>-5%</i>	<i>-5%</i>	<i>-5%</i>
WM fees (new)	2,673	1,371	781
PBT 2025	13,099	9,123	5,657
Difference	(141)	(72)	(41)
Sensitivity	-1.1%	-0.8%	-0.7%

Source: J.P. Morgan calculations.

Table 3: Singapore banks: Sensitivity to changes in Wealth income

S\$ mn	DBS	OCBC	UOB
WM income	5,680	5,603	1,281
<i>% change in WM income</i>	<i>-5%</i>	<i>-5%</i>	<i>-5%</i>
WM income (new)	5,396	5,323	1,217
PBT 2025	13,099	9,123	5,657
Difference	(284)	(280)	(64)
Sensitivity	-2.2%	-3.1%	-1.1%

Source: J.P. Morgan calculations. Note: Wealth income based on company classification. OCBC includes insurance income.

Table 4: Singapore banks: Sensitivity to changes in net new money

S\$ mn	DBS	OCBC	UOB
NNM	39,000	27,000	11,000
Fee rate	0.62%	0.41%	0.43%
<i>% change in NNM</i>	<i>-30%</i>	<i>-30%</i>	<i>-30%</i>
Change in NNM	11,700	8,100	3,300
PBT 2026E	13,311	9,240	6,660
Difference	(73)	(33)	(14)
Sensitivity	-0.5%	-0.4%	-0.2%

Source: J.P. Morgan estimates.

A ~30% decline in NNM could have a <1% impact in Year 1, but the impact could compound over time if growth slows sustainably

Firming Fed rate outlook; SORA pass-through will be key

Fed fund futures for Jan-27 price in 1.28 hikes at the time of writing vs. 2 cuts earlier in the year. Yet a higher Fed rate does not, on its own, lead to higher NII or NIM. For DBS, higher Fed rates could lead to **lower** NII (every bp increase in SOFR leads to a S \$4mn decline in NII on an annual basis, all else equal) due to hedges. We expect a limited direct impact for UOB and OCBC. Yet to the extent higher Fed rates lead to higher SORA, it is positive for NII/pretax for the three banks (1.4% to 2.1% for 25bps). Hibor moves tend to have a relatively smaller impact on NII/NIM for OCBC and DBS, as they have close to matched ALM in HK due to retail presence, but a bit more impact on UOB due to HKD asset funding via swaps, but that is declining.

In addition to rates, SORA moves are negatively correlated to better flows into Singapore. Further, if the SGD strengthens amid better flows, it could lead to lower pressure on SORA. Tying it all together, weaker flows and a firmer SGD would be best for SORA/banks' NIM and vice versa.

Market now pricing in over one Fed hike by Jan-27

Figure 12: Fed futures number of cuts/hikes being priced



Source: Bloomberg Finance L.P.

Figure 13: USDSGD exchange rate



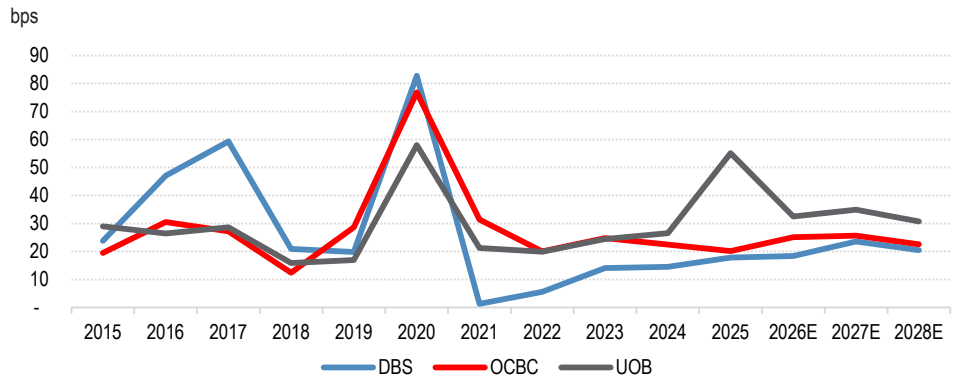
Source: Bloomberg Finance L.P.

Watching asset quality risks

1Q26 NPL formation was relatively benign, but we expect a degree of stress on cash flows across borrowers to show up in 2Q26 and onward, accompanied by higher loan growth. The key risk is in EM ASEAN and India portfolios, with a degree of risk for sectors like agriculture, construction, hospitality, energy traders, et al. We factor in 18-32bps credit costs for this year. It is unclear which bank would have higher NPL formation in 2Q/2H, but the bias of risk appears to be more for UOB and OCBC, given higher EM ASEAN exposure. OCBC's acquisition of HSBC Indonesia right when the economy and FX are weakening could be a small source of risk.

We expect higher credit costs at UOB following the spike in 2025

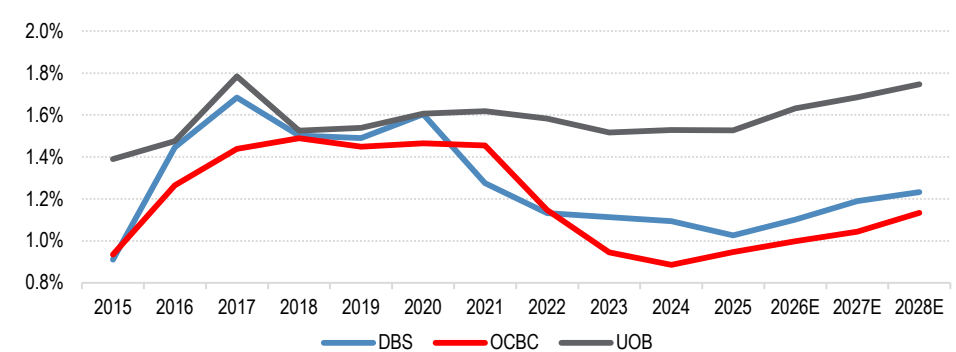
Figure 14: Singapore banks: Credit costs



Source: Company data and J.P. Morgan estimates.

NPL ratios could see some increase following the energy price moves across markets

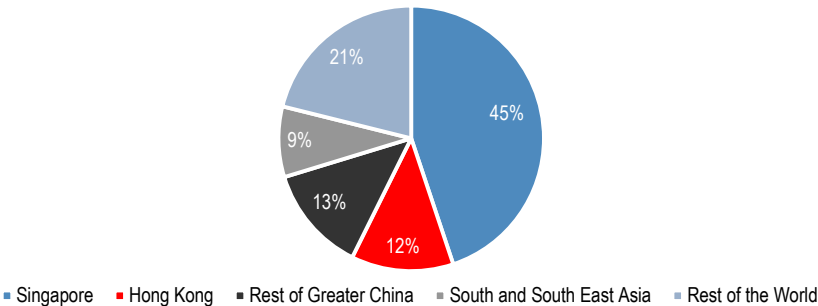
Figure 15: Singapore banks: NPL ratio



Source: Company data and J.P. Morgan estimates.

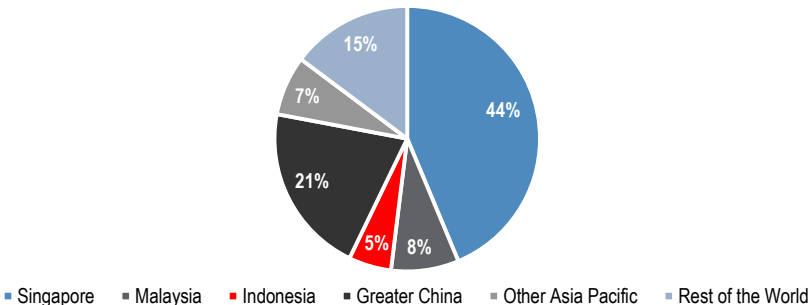
UOB has the highest EM ASEAN exposure among SG banks, at ~21%.

Figure 16: DBS: Loan mix by geography



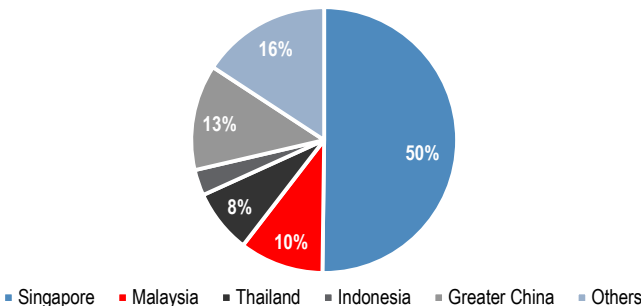
Source: Company data. Data as of 4Q25.

Figure 17: OCBC: Loan mix by geography



Source: Company data. As of 4Q25.

Figure 18: UOB: Loan mix by geography



Source: Company data. As of 4Q25.

Capital management shifts pausing for now

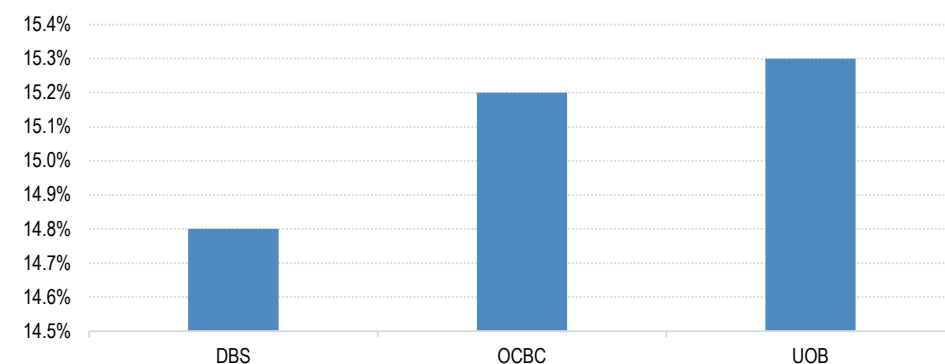
The payout ratios for UOB and OCBC are clear at 50%, and DBS appears to be on track for a 6c increase in quarterly DPS in 4Q26. On special, there are limited expectations at UOB (possible if the bank sells AM business), the remaining buyback amount for OCBC (S\$780mn, 0.7% of MCap, ~10% of 2026E profits, 17c) is quite likely, while the timing of special for DBS is unclear between 2026/27. We assume that the remaining S \$2.6bn budget will be used equally this year and next year across buyback and special (S\$2.6bn, 1.4% of MCap, 23% of 2026E profits). On buyback, UOB is active as multiples are low, while we do not see OCBC doing any this year or next year. More importantly, given that most of the capital management is done or discounted, the stocks are not necessarily moving as much on small DY differentials. This is a meaningful shift that could hold for a while.

Table 5: Singapore banks: Total yields

SG Banks yields	DBS			OCBC			UOB		
	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
Regular DPS	2.46	2.70	2.88	0.82	0.83	0.86	1.56	1.67	1.80
Special DPS	0.60	0.80	0.80	0.18	0.17	0.16	0.25	-	-
Total DPS	3.06	3.50	3.68	0.99	1.00	1.02	1.81	1.67	1.80
Yield									
Regular	3.9%	4.2%	4.5%	3.4%	3.5%	3.6%	4.1%	4.3%	4.7%
Special	0.9%	1.3%	1.3%	0.7%	0.7%	0.7%	0.7%	0.0%	0.0%
Total	4.8%	5.5%	5.8%	4.2%	4.2%	4.3%	4.7%	4.3%	4.7%
Payout									
Regular payout	64%	69%	70%	50%	50%	50%	57%	50%	50%
Regular + special payout	80%	89%	89%	61%	61%	59%	66%	50%	50%
Regular + special + buyback payout	83%	95%	95%	63%	61%	59%	78%	61%	61%
Total buyback (S\$ mn)	370	750	750	220	-	-	650	700	700
Buyback amt. per share	0.13	0.27	0.27	0.05	-	-	0.39	0.43	0.43
Yield on buyback	0.2%	0.4%	0.4%	0.2%	0.0%	0.0%	1.0%	1.1%	1.1%
Total yields	5.0%	5.9%	6.2%	4.4%	4.2%	4.3%	5.7%	5.5%	5.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 9 June 2026.

Figure 19: Singapore banks: Fully phased CET1

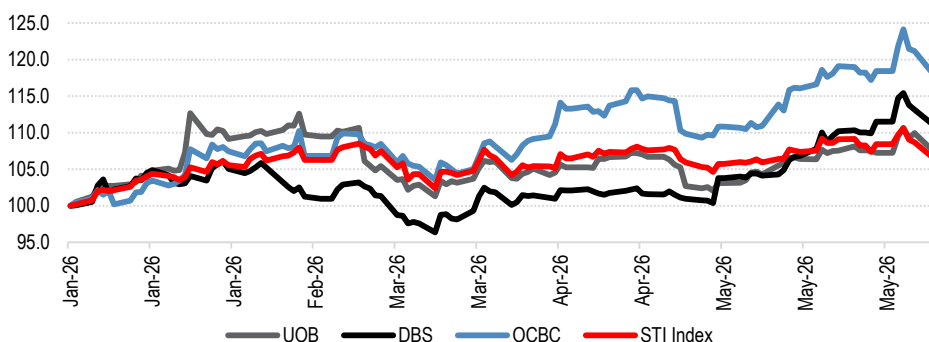


Source: Company data. As of 1Q26.

DBS, OCBC near peak valuations

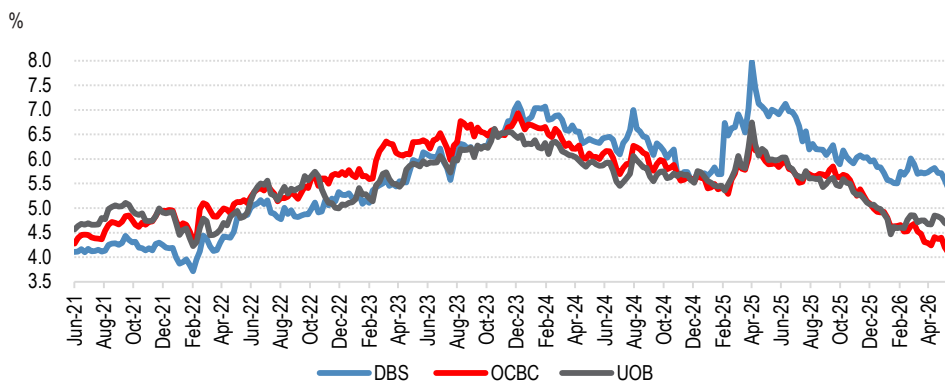
DBS at a 16.1x/2.6x 2026E PE/PB and a 5.5% DY is close to historical highs on earnings and book, but not on dividends. The situation is similar for OCBC at a 14.4x/1.7x 2026 PE/PB and a 4.2% DY. OCBC is up 20% YTD, while DBS is up 13% YTD (vs. 8% for STI). The performance, multiples and possibility of a stall in EPS revisions limit near-term upside for DBS, in our view, while opening downside for OCBC. We remain cautious on UOB in the medium term, as the bank has lagged peers in WM.

Figure 20: Singapore banks: Stock price performance with STI



Source: Bloomberg Finance L.P.

Figure 21: Singapore banks: Dividend yield



Source: Bloomberg Finance L.P.

▼ Neutral

Previous: Overweight

DBSM.SI, DBS SP

Price (09 Jun 26): S\$63.76

Price Target (Jun-27): S\$64.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$\$)	2025A	2026E	2027E
Q1	1.02	1.03A	
Q2	1.00	0.99	
Q3	1.04	0.99	
Q4	0.80	0.91	
FY	3.85	3.92	4.13

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	13	13	4	7	13
Growth	7	10	16	43	10
Momentum	31	19	28	73	4
Quality	1	1	7	16	13
Low Vol	37	58	43	31	13
ESGQ	18	88	87	22	17

DBS Group Holdings

Best-in-class, but near-term EPS revisions to stall

DBS should deliver 16%/16.5%/17.3% RoE in 2026/27/28, in our view, with a high degree of visibility on capital returns as CET1 stays ample, at 14.8%. Yet its 16.1x/2.6x 2026E PE/PB means that a near-term stall in EPS revisions may limit the probability of an immediate re-rating. Once we get time or a price correction, the outlook should improve meaningfully for the next few years for the stock, in our view. Our downgrade is tactical, as we await a better entry point. The key risk to our view is a sharply higher SORA, with a limited increase in SOFR. Further, if AQ continues to hold better at DBS than at peers (less EM ASEAN exposure), this may also lead to relative outperformance. Moreover, if our view on near-term NNMg is borne out, the stock could stay in a volatile range, as weakness on China ODI policy shifts may give way to positive surprises once numbers come through. A higher payout in 2026 is also a potential positive.

Valuation

Table 6: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	26.4	19.5	3.27	1.09	1.7%	1.01%	2.02%	12.6%
2022	8,193	2.89	22.0	19.2	3.31	1.82	2.9%	1.13%	2.35%	14.8%
2023	10,286	3.63	17.6	21.0	3.03	1.75	2.7%	1.38%	2.85%	17.9%
2024	11,408	4.01	15.9	23.4	2.73	2.22	3.5%	1.45%	3.14%	18.0%
2025	11,033	3.89	16.4	24.3	2.63	3.06	4.8%	1.27%	3.05%	16.2%
2026E	11,212	3.96	16.1	24.8	2.57	3.50	5.5%	1.20%	2.97%	16.1%
2027E	11,735	4.17	15.3	25.2	2.53	3.68	5.8%	1.17%	2.91%	16.7%
2028E	12,512	4.46	14.3	25.8	2.47	3.68	5.8%	1.19%	2.94%	17.5%

Price (\$\$)	63.76	Number of shares (mn)	2,842	Market Cap (\$\$ mn)	181,204
Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.52%	Risk-free rate	3.85%	Fair PE	14.6x
Non-IR/revenues	39.5%	Cost of capital	9.4%	12m Rolling EPS	S\$4.05
Cost/income	40.1%	Long term growth	4.30%	PE based Fair Value	S\$59.3
Operating RoA	1.51%	Fair PB	2.41x	Implied Value of Growth	
LLP/Loans	-0.20%	PV of Terminal Value	S\$54.8	12m Rolling EPS	S\$4.05
Net RoAA	1.19%	PV of Dividends	S\$3.3	Capitalized Value (\$\$)	\$43.4
Equity/Assets	7.2%	PV of today's Fair Value	S\$58.1	Value of Growth (\$\$)	\$20.4
Normalised RoE	16.5%	PB based 12m fwd Fair Value	S\$63.6	Attributable to Growth	32.0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 9 June 2026.

Annual forecasts

Table 7: DBS: Annual P&L

S\$ in mn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	9,644	9,748	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	28,268	25,953	26,338	27,586
Interest Expense	(2,544)	(2,443)	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(13,768)	(11,615)	(11,139)	(11,586)
Net Interest Income	7,100	7,305	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,500	14,339	15,199	16,000
Non-Interest Income	3,687	4,184	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	8,662	9,474	9,900	10,409
Net Fee income	2,144	2,331	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	4,898	5,425	5,750	6,124
Trading income	1,204	1,357	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,368	1,546	1,546	1,577
Other operating income	339	496	453	179	408	1,053	542	364	1,999	2,414	2,396	2,504	2,604	2,708
Total Revenues	10,787	11,489	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,162	23,813	25,099	26,409
Costs	(4,900)	(4,972)	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,249)	(9,634)	(10,019)	(10,515)
PPOP	5,887	6,517	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	13,913	14,179	15,080	15,894
Loan loss provisions	(672)	(1,395)	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(791)	(845)	(1,136)	(1,033)
Other provisions	(71)	(39)	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(23)	(23)	(12)	(6)
Other income	14	0	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	5,158	5,083	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	13,099	13,311	13,933	14,855
Tax	(727)	(723)	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(2,065)	(2,098)	(2,196)	(2,342)
MI & EO	(113)	(122)	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,318	4,238	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	11,033	11,212	11,735	12,512
Attributable profit	4,454	4,238	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	10,933	11,112	11,635	12,412

Source: Company data, J.P. Morgan estimates.

Table 8: DBS: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	1.77%	1.80%	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	2.01%	1.86%	1.84%	1.84%
IEA/Assets	89.5%	86.6%	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	83.7%	82.5%	82.7%	82.8%
Margins (% of avg. Assets)	1.58%	1.56%	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.68%	1.53%	1.52%	1.52%
Non-IR contribution	34.2%	36.4%	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	37.4%	39.8%	39.4%	39.4%
Non-IR/Avg. Assets	0.82%	0.89%	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.00%	1.01%	0.99%	0.99%
Revenue/Assets	2.40%	2.45%	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.69%	2.54%	2.51%	2.51%
Cost/Income	45.4%	43.3%	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	39.9%	40.5%	39.9%	39.8%
C/Assets	1.09%	1.06%	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.07%	1.03%	1.00%	1.00%
Pre-Provision ROA	1.31%	1.39%	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.61%	1.51%	1.51%	1.51%
LLP/Loans	-0.24%	-0.47%	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.18%	-0.18%	-0.24%	-0.20%
Loan/Assets	63.0%	63.0%	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	51.5%	49.1%	48.1%	48.0%
Other Income/Assets	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.42%	1.39%	1.41%
Pre-Tax ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.42%	1.39%	1.41%
Tax Rate	-14.1%	-14.2%	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.8%	-15.8%	-15.8%	-15.8%
Minorities & Outside Int.	-0.03%	-0.03%	-0.03%	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.99%	0.89%	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.26%	1.19%	1.16%	1.18%
RoRWA	1.66%	1.52%	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	3.02%	2.94%	2.88%	2.91%
Equity/Assets	8.51%	8.77%	8.85%	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.84%	7.41%	7.03%	6.80%
ROE	11.6%	10.2%	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.0%	16.0%	16.5%	17.3%

Source: Company data, J.P. Morgan estimates.

Quarterly forecasts

Table 9: DBS: Quarterly P&L

S\$ in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Interest Income	7,726	7,741	7,713	7,747	7,457	7,084	6,913	6,814	6,497	6,534	6,423	6,500
Interest Expense	(4,221)	(4,147)	(4,116)	(4,019)	(3,776)	(3,436)	(3,335)	(3,221)	(3,003)	(2,955)	(2,849)	(2,808)
Net Interest Income	3,505	3,594	3,597	3,728	3,681	3,648	3,578	3,593	3,494	3,579	3,574	3,692
Non-Interest Income	2,103	1,951	2,222	1,847	2,301	2,149	2,421	1,791	2,516	2,367	2,440	2,152
Net Fee income	1,043	1,048	1,109	968	1,275	1,167	1,357	1,099	1,482	1,349	1,389	1,205
Trading income	388	362	530	261	401	395	419	153	370	407	427	341
Other operating income	672	541	583	618	625	587	645	539	664	611	623	606
Total Revenues	5,608	5,545	5,819	5,575	5,982	5,797	5,999	5,384	6,010	5,945	6,013	5,844
Costs	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,270)	(2,393)	(2,372)	(2,302)	(2,379)	(2,471)	(2,481)
PPOP	3,529	3,373	3,570	3,180	3,768	3,527	3,606	3,012	3,708	3,566	3,542	3,363
Loan loss provisions	(135)	(128)	(130)	(230)	(325)	(130)	(124)	(212)	(190)	(208)	(210)	(237)
Other provisions	0	(32)	(6)	16	(6)	(9)	(6)	(2)	(6)	(6)	(6)	(5)
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	3,394	3,213	3,434	2,966	3,437	3,388	3,476	2,798	3,512	3,352	3,326	3,121
Tax	(432)	(416)	(414)	(336)	(531)	(573)	(531)	(430)	(569)	(520)	(516)	(494)
MI and EO	(6)	6	7	(8)	(9)	9	9	(10)	(13)	(12)	(12)	37
Core profit	2,956	2,803	3,027	2,622	2,897	2,824	2,954	2,358	2,930	2,820	2,798	2,663
Attributable profit	2,951	2,789	3,027	2,522	2,897	2,824	2,954	2,258	2,930	2,820	2,798	2,563

Source: Company data, J.P. Morgan estimates.

Table 10: DBS: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	1.96%	1.93%	1.89%	1.86%	1.83%	1.84%
IEA/Assets	86.7%	86.0%	85.9%	85.3%	84.4%	85.0%	84.0%	83.0%	81.8%	81.9%	81.9%	82.0%
Margins (% of avg. Assets)	1.85%	1.84%	1.81%	1.83%	1.79%	1.74%	1.65%	1.60%	1.55%	1.52%	1.50%	1.51%
Non-IR contribution	37.5%	35.2%	38.2%	33.1%	38.5%	37.1%	40.4%	33.3%	41.9%	39.8%	40.6%	36.8%
Non-IR/Avg. Assets	1.11%	0.99%	1.13%	0.91%	1.10%	1.02%	1.12%	0.81%	1.10%	1.00%	1.02%	0.89%
Revenue/Assets	2.95%	2.82%	2.95%	2.76%	2.87%	2.76%	2.78%	2.42%	2.62%	2.52%	2.51%	2.41%
Cost/Income	37.1%	39.2%	38.6%	43.0%	37.0%	39.2%	39.9%	44.1%	38.3%	40.0%	41.1%	42.5%
C/Assets	1.09%	1.10%	1.14%	1.19%	1.06%	1.08%	1.11%	1.07%	1.00%	1.01%	1.03%	1.02%
Pre-Provision ROA	1.9%	1.7%	1.8%	1.6%	1.8%	1.7%	1.7%	1.4%	1.6%	1.5%	1.5%	1.4%
LLP/Loans	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.12%	-0.11%	-0.19%	-0.17%	-0.18%	-0.18%	-0.20%
Loan/Assets	56.0%	54.8%	54.1%	53.2%	52.7%	52.4%	51.2%	50.3%	49.7%	48.8%	48.5%	48.2%
Other Income/Assets	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.78%	1.65%	1.74%	1.46%	1.65%	1.62%	1.62%	1.26%	1.54%	1.43%	1.39%	1.29%
Pre-Tax ROA	1.78%	1.63%	1.74%	1.47%	1.65%	1.61%	1.61%	1.26%	1.53%	1.42%	1.39%	1.29%
Tax Rate	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-16.9%	-15.3%	-15.4%	-16.2%	-15.5%	-15.5%	-15.8%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	-0.01%	-0.01%	-0.01%	0.02%
ROA	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.37%	1.02%	1.28%	1.20%	1.17%	1.06%
RoRWA	3.16%	2.91%	3.34%	2.92%	3.29%	3.19%	3.27%	2.47%	3.19%	3.02%	2.95%	2.65%
Equity/Assets	7.95%	7.89%	8.09%	8.12%	8.04%	8.04%	7.82%	7.65%	7.54%	7.38%	7.30%	7.21%
ROE	19.5%	17.9%	18.9%	15.3%	17.3%	16.7%	17.5%	13.3%	17.0%	16.2%	16.0%	14.6%

Source: Company data, J.P. Morgan estimates

Price Performance



	YTD	1m	3m	12m
Abs	13.1%	8.7%	17.4%	40.2%
Rel	5.0%	6.6%	11.8%	12.5%

Company Data

Shares O/S (mn)	2,844
52-week range (\$\$)	65.19-43.02
Market cap (\$ mn)	140,746
Exchange rate	1.29
Free float (%)	71.6%
3M ADV (mn)	5.29
3M ADV (\$ mn)	240.4
Volatility (90 Day)	15
Index	FTSTI
BBG ANR (Buy Hold Sell)	10 7 1

Key Metrics (FYE Dec)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	14,500	14,339	15,199	16,000
Non interest income	8,662	9,474	9,900	10,409
Operating expenses	(9,249)	(9,634)	(10,019)	(10,515)
Adj. PPOP	13,913	14,179	15,080	15,894
Provision for loan losses	(791)	(845)	(1,136)	(1,033)
Adj. PBT	12,999	13,211	13,833	14,755
Adj. net income	10,933	11,112	11,635	12,412
Adj. EPS	3.85	3.92	4.13	4.42
BBG EPS	3.96	3.95	4.19	4.48
DPS	3.06	3.51	3.69	3.69
Loans	445,011	463,273	487,514	510,075
Deposits	610,023	662,520	697,739	731,172
Total Assets	897,488	976,676	1,027,091	1,077,134
Margins and Growth				
NIM	2.0%	1.9%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	72.9%	69.9%	69.9%	69.8%
NPL / Loans	1.0%	1.1%	1.2%	1.2%
Coverage	130.8%	115.3%	105.7%	101.5%
CET 1	-	-	-	-
Non-int. income/ Income	37.4%	39.8%	39.4%	39.4%
Cost/Income	39.9%	40.5%	39.9%	39.8%
LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.3%	1.2%	1.2%	1.2%
ROE	16.2%	16.0%	16.5%	17.3%
Valuation				
Dividend yield	4.8%	5.5%	5.8%	5.8%
Adj. P/E	16.6	16.3	15.5	14.4
P/ BV	2.63	2.57	2.53	2.47

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on DBS.

- DBS has delivered one of the best RoE expansions in the last decade, as technology and process-led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM and underwriting.
- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buybacks) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans/assets in 2028E vs. 63% in 2017), with the WM business contributing an increasingly larger share. We expect S\$40bn NNM in 2026. However, China's new policy on outbound direct investment could weigh on NNM growth, as < 30% of NNM is from Chinese nationals.

Valuation

Our Jun-27 PT of S\$64 is based on a fair P/B of 2.41x, assuming a normalized RoE of 16.5%, a risk-free rate of 3.85%, a cost of capital of 9.4% and a growth rate of 4.3%.

Performance Drivers

Market	23%
Region	18%
Macro	24%
Style	3%
Idiosyn.	33%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.37	0.59
Region: Singapore	0.72	0.62
Macro:		
HSI Volatility Index	0.01	-0.34
JP Morgan EMBI Global Spread	0.03	-0.28
JPM Global Equity Sentiment	0.11	0.20
Quant Styles:		
Size	-0.33	-0.21
Value	0.08	0.21
LowVol	0.22	0.20

DBS Group Holdings (Neutral; Price Target: S\$64.00)

Investment Thesis

We are Neutral on DBS.

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- The bank has restructured to lower its loan intensity (48% loans/assets in 2028E vs. 63% in 2017), with the WM business contributing an increasingly larger share. We expect S\$40bn NNM in 2026. However, China's new policy on outbound direct investment could weigh on NNM growth, as < 30% of NNM is from Chinese nationals.
- The shifts in oil prices could lead to asset quality issues across the sector, yet NPA formation was low in 1Q, and credit costs were at the lower end of guidance. LLR/loans for the bank is at 127bps, with 85bps of loans as GP. Further, credit RWag and loan gr has averaged 2.1% and 1.7% in the last four years, respectively, suggesting a limited build-up of credit risk. We expect 18bps credit costs this year, with 24bps in FY27, given potential tail events.
- We expect 2026 EPS to mark a low for the next five years. Hence, the regular DPS of S\$3.06 and part of the special can stay intact. We estimate that the bank could pay over \$3.50 in DPS (2026E) for years to come.
- With the stock trading at a 2.6x 2026E P/B and a 5.5% dividend yield, re-rating could take a pause, in our view, especially as WM sees risks of slowing.

Valuation

Our Jun-27 PT of S\$64 is based on a fair P/B of 2.41x, assuming a normalized RoE of 16.5%, a risk-free rate of 3.85%, a cost of capital of 9.4% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside risks include: (1) further increases in DPS; (2) stronger-than-expected deposit inflows; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) a sharp increase in SORA, with limited movement in SOFR, which would be positive for NIM.

Downside risks include: (1) a slowdown in net new money inflows; (2) dividend disappointment; (3) asset quality deterioration, potentially from trade or oil-related exposures, as well as CRE; and (4) a faster and/or larger decline in SORA, which would drive larger-than-expected NIM compression. Any acquisition would come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	30,927	28,268	25,953	26,338	27,586	Cash and cash equivalents	0	0	0	0	0
Interest expense	(16,503)	(13,768)	(11,615)	(11,139)	(11,586)	Deposits with banks	139,061	149,725	160,390	167,555	174,940
Net interest income	14,424	14,500	14,339	15,199	16,000	Net loans	430,594	445,011	463,273	487,514	510,075
Non interest income	8,123	8,662	9,474	9,900	10,409	PP&E	3,873	3,486	3,625	3,734	3,846
o/w Fee income	4,168	4,898	5,425	5,750	6,124	Net intangibles	6,372	6,314	6,440	6,440	6,440
o/w Trading income	1,541	1,368	1,546	1,546	1,577	LT investments	189,665	239,231	287,077	304,302	322,560
Net revenues	22,547	23,162	23,813	25,099	26,409	Other assets	57,654	53,721	55,870	57,546	59,272
Non interest expense	(8,895)	(9,249)	(9,634)	(10,019)	(10,515)	Total assets	827,219	897,488	976,676	1,027,091	1,077,134
o/w Employee costs	0	0	0	0	0	Interest earning assets	765,410	840,021	916,700	965,578	1,014,040
Pre-Prov. Profits	13,652	13,913	14,179	15,080	15,894	Deposits	561,730	610,023	662,520	697,739	731,172
Provisions	(623)	(791)	(845)	(1,136)	(1,033)	Borrowings	133,343	158,846	180,791	191,351	202,531
Adj. PBT	12,888	12,999	13,211	13,833	14,755	Other liabilities	65,705	59,703	63,285	67,082	71,107
Income taxes	(1,598)	(2,065)	(2,098)	(2,196)	(2,342)	Total liabilities	760,778	828,572	906,596	956,172	1,004,811
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	66,394	68,867	70,030	70,870	72,274
Adj. Net profit	11,289	10,933	11,112	11,635	12,412	Minority interests	47	49	49	49	49
PPOP per share	4.80	4.90	5.02	5.36	5.67	Total liabilities and Shareholder equity	827,219	897,488	976,676	1,027,091	1,077,134
Reported EPS	3.97	3.85	3.92	4.13	4.42	Interest bearing liabilities	638,689	686,090	757,725	814,229	856,713
Adj. EPS	3.97	3.85	3.92	4.13	4.42	Book Value Per Share	23.38	24.27	24.78	25.18	25.79
DPS	2.22	3.06	3.51	3.69	3.69	Tangible Book Value Per Share	23.38	24.27	24.78	25.18	25.79
Diluted shares outstanding	2,843	2,838	2,832	2,820	2,809						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	76.7%	72.9%	69.9%	69.9%	69.8%	Loan loss reserves/Loans	(1.4%)	(1.3%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	22.0%	24.9%	28.1%	29.5%	29.8%	NPLs/Loans	1.1%	1.0%	1.1%	1.2%	1.2%
Loan/Assets	54.8%	51.5%	49.1%	48.1%	48.0%	Loan loss reserves/NPLs	127.5%	129.1%	122.6%	110.2%	103.5%
Customer deposits/Liabilities	73.8%	73.6%	73.1%	73.0%	72.8%	NPL y/y growth	1.8%	(3.2%)	11.7%	13.6%	8.4%
LT debt/Liabilities	15.9%	18.4%	19.6%	20.0%	20.1%	Tier 1 ratio	17.7%	17.0%	16.2%	15.4%	15.0%
						CAR	18.6%	17.9%	17.0%	16.2%	15.7%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	1.9%	1.8%	1.8%	Return on equity (ROE)	17.9%	16.2%	16.0%	16.5%	17.3%
Non interest income/Net revenue	36.0%	37.4%	39.8%	39.4%	39.4%	Return on assets (ROA)	1.4%	1.3%	1.2%	1.2%	1.2%
Non interest income/Avg. Assets	1.0%	1.0%	1.0%	1.0%	1.0%	Operating ROA	1.7%	1.5%	1.4%	1.4%	1.4%
Efficiency ratio	39.5%	39.9%	40.5%	39.9%	39.8%	Pre-Tax ROA	1.6%	1.5%	1.4%	1.4%	1.4%
Leverage ratio	8.0%	7.2%	6.7%	6.4%	6.2%	Pre-Provision ROA	1.7%	1.6%	1.5%	1.5%	1.5%
Revenue/Assets	2.9%	2.7%	2.5%	2.5%	2.5%	Tax rate	12.4%	15.9%	15.9%	15.9%	15.9%
RORWA	3.1%	3.0%	2.9%	2.9%	2.9%						
RWA	352,002	365,381	390,670	415,972	436,239	Net loans y/y growth	3.5%	3.3%	4.1%	5.2%	4.6%
Avg. RWA	360,183	358,692	378,026	403,321	426,106	Assets y/y growth	11.9%	8.5%	8.8%	5.2%	4.9%
Avg. IEA	676,148	721,393	772,957	828,202	871,032	RWA y/y growth	(4.4%)	3.8%	6.9%	6.5%	4.9%
Gross Loans	436,684	451,065	469,233	493,721	516,540	Deposits y/y growth	5.0%	8.6%	8.6%	5.3%	4.8%
Avg. IBL	638,689	686,090	757,725	814,229	856,713	Net interest income y/y growth	5.7%	0.5%	(1.1%)	6.0%	5.3%
LLR	(6,090)	(6,054)	(5,960)	(6,207)	(6,465)	Revenues y/y growth	10.6%	2.7%	2.8%	5.4%	5.2%
NPLs	4,780	4,629	5,170	5,874	6,368	Adj. EPS y/y growth	11.9%	(3.0%)	1.8%	5.1%	7.1%
P/BV (x)	2.73	2.63	2.57	2.53	2.47	BVPS y/y growth	11.1%	3.8%	2.1%	1.6%	2.4%
Adj. P/E (x)	16.1	16.6	16.3	15.5	14.4	IE assets/Assets	86.3%	83.7%	82.5%	82.7%	82.8%
Dividend yield	3.5%	4.8%	5.5%	5.8%	5.8%	Margins (as % of Avg. Assets)	1.7%	1.5%	1.3%	1.3%	1.3%
Dividend payout	55.9%	79.4%	89.4%	89.4%	83.4%	LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	8.0%	7.8%	7.4%	7.0%	6.8%
						Cost/Assets	1.1%	1.1%	1.0%	1.0%	1.0%
						Assets/Equity	12.4	12.8	13.5	14.2	14.7

Source: Company reports and J.P. Morgan estimates.
Note: \$S in millions (except per-share data). Fiscal year ends Dec

Underweight

OCBC.SI, OCBC SP

Price (09 Jun 26): S\$23.80

Price Target (Jun-27): S\$20.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.42	0.43A	
Q2	0.40	0.40	
Q3	0.43	0.40	
Q4	0.38	0.40	
FY	1.63	1.65	1.72

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	16	10	10	19	16
Growth	22	13	13	34	7
Momentum	22	46	31	43	10
Quality	7	7	10	22	7
Low Vol	25	19	7	4	1
ESGQ	18	5	16	10	7

OCBC Bank

Too costly for RoE, while NNM growth may slow

The stock has re-rated to a 1.7x 2026E P/B for a 12.1-12.2% 2026E/27E RoE, which suggests a sharply lower COE or much higher terminal growth. This, we believe, skews the risk/return trade-off. Concerns about a WM fee slowdown could be a catalyst for stock price weakness. Further, an increase in Indonesia exposure (via HSBC) right when the economy is slowing and FX is weakening may be a small source of negative revisions. Further, there is a limited likelihood of improved capital returns over the next few quarters, which, along with a 4.2% DY, limits upside risks.

Valuation

Table 11: OCBC: Valuation

	Net Inc	Core EPS	Core P/E	BVPS	P/B	Dividend	Div Yld	RoA	RoRWA	RoE	
	(\$ mn)	(\$)	(x)	(\$)	(x)	(\$)	(%)	(%)	(%)	(%)	
2022	5,691	1.27	18.7	11.4	2.08	0.68	2.9%	1.03%	2.52%	11.1%	
2023	6,986	1.55	15.4	11.8	2.02	0.82	3.4%	1.22%	3.00%	13.4%	
2024	7,519	1.67	14.3	12.7	1.87	1.01	4.2%	1.25%	3.21%	13.7%	
2025	7,354	1.63	14.6	13.4	1.77	0.99	4.2%	1.13%	3.06%	12.5%	
2026E	7,456	1.65	14.4	14.1	1.69	1.00	4.2%	1.07%	2.91%	12.1%	
2027E	7,747	1.75	13.6	14.8	1.61	1.02	4.3%	1.06%	2.80%	12.2%	
2028E	8,393	1.86	12.8	15.6	1.52	1.12	4.7%	1.07%	2.84%	12.3%	
Price (\$)		23.80		Number of shares (mn)		4,549		Market Cap (\$ mn)		108,258	
Normalised RoE			PB based Valuation				PE based Valuation				
NIM (on avg. assets)	1.31%		Risk-free rate			4.1%		Fair PE		11.0x	
Non-IR/revenues	38.8%		Cost of capital			10.2%		12m Rolling EPS		S\$1.70	
Cost/income	41.2%		Long term growth			4.3%		PE based 12m fwd Fair Value		S\$18.7	
Operating RoA	1.25%		Fair PB			1.34x		Implied Value of Growth			
LLP/Loans	-0.20%		PV of Terminal Value			S\$17.6		12m Rolling EPS		S\$1.70	
Net RoAA	1.07%		PV of Dividends			S\$0.9		Capitalized Value (\$)		\$16.71	
Equity/Assets	8.8%		PV of today's Fair Value			S\$18.5		Value of Growth (\$)		\$7.09	
Normalised RoE	12.2%		PB based 12m fwd Fair Value			S\$20.4		Attributable to Growth		29.8%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 9 June 2026.

Annual forecasts

Table 12: OCBC: Annual P&L

\$S in mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	7,607	8,486	8,368	9,118	11,049	12,098	9,143	7,425	11,590	20,867	22,444	20,076	19,032	19,627	20,688
Interest Expense	(2,871)	(3,297)	(3,316)	(3,695)	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(10,926)	(9,940)	(9,902)	(10,440)
Net Interest Income	4,736	5,189	5,052	5,423	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,150	9,092	9,726	10,248
Non-Interest Income	3,182	3,530	3,437	4,213	3,811	4,540	4,173	4,741	3,987	3,862	4,718	5,464	6,014	6,212	6,460
Net Fee income	1,495	1,643	1,638	1,953	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,411	2,676	2,810	2,922
Trading income	498	756	727	946	524	1,148	1,071	855	628	1,250	1,831	1,984	2,087	2,101	2,185
Other operating income	1,189	1,131	1,072	1,314	1,256	1,269	1,099	1,641	1,508	808	917	1,069	1,251	1,301	1,353
Total Revenues	7,918	8,719	8,489	9,636	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,614	15,106	15,937	16,708
Costs	(3,258)	(3,664)	(3,788)	(4,034)	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,882)	(6,164)	(6,509)	(6,874)
PPOP	4,660	5,055	4,701	5,602	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,732	8,942	9,428	9,833
Loan loss provisions	(359)	(409)	(656)	(621)	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(665)	(877)	(941)	(871)
Other provisions	(72)	(177)	(166)	(154)	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(21)	(21)	(21)	(21)
Other income	112	353	396	389	455	566	612	824	978	953	994	1,077	1,195	1,315	1,447
Pre-Tax	4,341	4,822	4,275	5,216	5,552	5,944	4,165	5,680	6,939	8,401	8,976	9,123	9,240	9,781	10,388
Tax	(687)	(717)	(629)	(803)	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,563)	(1,571)	(1,663)	(1,766)
Minorities and Hybrids	(234)	(205)	(173)	(267)	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(138)	(145)	(152)	(160)
Core Reported profit	3,420	3,900	3,473	4,146	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,422	7,524	7,966	8,462
Profits to Equity SHs	3,785	3,844	3,414	4,089	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,354	7,456	7,747	8,393

Source: Company data, J.P. Morgan estimates.

Table 13: OCBC: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	1.68%	1.67%	1.67%	1.65%	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	1.91%	1.74%	1.75%	1.75%
IEA/Assets	76.1%	78.4%	75.7%	76.0%	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.6%	74.5%	74.6%	74.6%
Margins (% of avg. Assets)	1.28%	1.31%	1.26%	1.25%	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.41%	1.30%	1.31%	1.31%
Non-IR contribution	40.2%	40.5%	40.5%	43.7%	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	37.4%	39.8%	39.0%	38.7%
Non-IR/Avg. Assets	0.86%	0.89%	0.86%	0.97%	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.84%	0.86%	0.84%	0.83%
Revenue/Assets	2.14%	2.20%	2.12%	2.23%	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.25%	2.16%	2.14%	2.13%
Cost/Income	41.1%	42.0%	44.6%	41.9%	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.2%	40.8%	40.8%	41.1%
C/Assets	0.88%	0.93%	0.95%	0.93%	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.90%	0.88%	0.88%	0.88%
Pre-Provision ROA	1.26%	1.28%	1.18%	1.30%	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.34%	1.28%	1.27%	1.26%
LLP/Loans	-0.19%	-0.19%	-0.30%	-0.27%	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.20%	-0.25%	-0.26%	-0.23%
Loan/Assets	51.3%	53.1%	53.8%	52.9%	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	50.8%	49.9%	49.4%	49.3%
Other Income/Assets	0.01%	0.04%	0.06%	0.05%	0.08%	0.10%	0.10%	0.14%	0.16%	0.15%	0.15%	0.16%	0.17%	0.17%	0.18%
Operating ROA	1.16%	1.17%	1.01%	1.15%	1.12%	1.14%	0.72%	0.93%	1.10%	1.32%	1.33%	1.24%	1.15%	1.14%	1.14%
Pre-Tax ROA	1.17%	1.22%	1.07%	1.21%	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.40%	1.32%	1.32%	1.33%
Tax Rate	-15.8%	-14.9%	-14.7%	-15.4%	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-17.1%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.06%	-0.05%	-0.04%	-0.06%	-0.04%	-0.04%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.02%	-0.02%	-0.02%	-0.02%
ROA	1.04%	0.99%	0.87%	0.96%	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.14%	1.08%	1.05%	1.08%
RoRWA	2.27%	2.05%	1.78%	2.12%	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	3.06%	2.91%	2.80%	2.84%
Equity/Assets	7.2%	7.9%	8.6%	8.4%	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.1%	9.0%	8.8%	8.7%	8.7%
ROE	14.4%	12.4%	10.1%	11.3%	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.8%	12.6%	12.2%	12.0%	12.4%

Source: Company data, J.P. Morgan estimates.

Quarterly forecasts

Table 14: OCBC: Quarterly P&L

S\$ in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Interest Income	5,615	5,615	5,596	5,617	5,410	4,994	4,824	4,847	4,796	4,764	4,714	4,758
Interest Expense	(3,178)	(3,185)	(3,163)	(3,162)	(3,065)	(2,711)	(2,598)	(2,551)	(2,574)	(2,492)	(2,434)	(2,441)
Net Interest Income	2,437	2,430	2,433	2,455	2,345	2,283	2,226	2,296	2,222	2,272	2,281	2,317
Non-Interest Income	1,189	1,199	1,369	961	1,310	1,264	1,570	1,320	1,606	1,436	1,528	1,444
Net Fee income	479	466	508	517	546	580	683	602	675	641	699	661
Trading income	421	439	628	343	458	458	576	492	522	509	529	528
Other operating income	289	294	233	101	306	226	311	226	409	286	301	255
Total Revenues	3,626	3,629	3,802	3,416	3,655	3,547	3,796	3,616	3,828	3,708	3,809	3,761
Costs	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	(1,389)	(1,519)	(1,559)	(1,505)	(1,515)	(1,594)	(1,551)
PPOP	2,280	2,256	2,339	1,856	2,240	2,158	2,277	2,057	2,323	2,194	2,215	2,211
Loan loss provisions	(169)	(55)	(169)	(297)	(212)	(87)	(139)	(227)	(216)	(219)	(222)	(220)
Other provisions	(25)	(111)	(7)	84	(5)	(33)	(5)	22	(5)	(5)	(5)	(6)
Other income	255	243	251	245	274	263	279	261	312	296	302	285
Pre-Tax	2,341	2,333	2,414	1,888	2,297	2,301	2,412	2,113	2,414	2,266	2,290	2,270
Tax	(344)	(310)	(339)	(235)	(390)	(439)	(378)	(356)	(415)	(389)	(394)	(373)
Minorities and Hybrids	(15)	(79)	(101)	34	(24)	(46)	(56)	(12)	(25)	(38)	(38)	(44)
Core Reported profits	1,982	1,944	1,974	1,687	1,883	1,816	1,978	1,745	1,974	1,839	1,859	1,852
Profits to Equity SHs	1,965	1,927	1,957	1,670	1,866	1,799	1,961	1,728	1,957	1,822	1,842	1,835

Source: Company data, J.P. Morgan estimates.

Table 15: OCBC: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.27%	2.20%	2.18%	2.15%	2.04%	1.92%	1.84%	1.86%	1.76%	1.73%	1.70%	1.72%
IEA/Assets	73.3%	74.2%	74.0%	74.0%	74.0%	74.4%	74.3%	74.0%	74.4%	74.7%	74.5%	74.3%
Margins (% of avg. Assets)	1.66%	1.63%	1.61%	1.59%	1.51%	1.43%	1.37%	1.38%	1.31%	1.29%	1.27%	1.28%
Non-IR contribution	32.8%	33.0%	36.0%	28.1%	35.8%	35.6%	41.4%	36.5%	42.0%	38.7%	40.1%	38.4%
Non-IR/Avg. Assets	0.81%	0.80%	0.91%	0.63%	0.83%	0.79%	0.97%	0.80%	0.93%	0.81%	0.86%	0.80%
Revenue/Assets	2.46%	2.43%	2.53%	2.23%	2.32%	2.21%	2.35%	2.19%	2.22%	2.10%	2.13%	2.09%
Cost/Income	37.1%	37.8%	38.5%	45.7%	38.7%	39.2%	40.0%	43.1%	39.3%	40.8%	41.9%	41.2%
C/Assets	0.91%	0.92%	0.97%	1.02%	0.90%	0.87%	0.94%	0.94%	0.87%	0.86%	0.89%	0.86%
Pre-Provision ROA	1.55%	1.51%	1.56%	1.21%	1.42%	1.35%	1.41%	1.24%	1.35%	1.24%	1.24%	1.23%
LLP/Loans	-0.23%	-0.07%	-0.22%	-0.38%	-0.26%	-0.11%	-0.17%	-0.27%	-0.25%	-0.25%	-0.25%	-0.25%
Loan/Assets	50.7%	50.6%	50.7%	50.9%	50.8%	50.5%	50.4%	50.5%	49.9%	49.4%	49.5%	49.4%
Other Income/Assets	0.16%	0.09%	0.16%	0.21%	0.17%	0.14%	0.17%	0.17%	0.18%	0.16%	0.17%	0.15%
Operating ROA	1.43%	1.47%	1.45%	1.02%	1.29%	1.29%	1.32%	1.11%	1.22%	1.12%	1.12%	1.10%
Pre-Tax ROA	1.59%	1.56%	1.61%	1.23%	1.46%	1.44%	1.49%	1.28%	1.40%	1.28%	1.28%	1.26%
Tax Rate	-14.7%	-13.3%	-14.0%	-12.5%	-17.0%	-19.1%	-15.7%	-16.8%	-17.2%	-17.2%	-17.2%	-16.4%
Minorities & Outside Int.	-0.01%	-0.05%	-0.07%	0.02%	-0.01%	-0.03%	-0.03%	-0.01%	-0.01%	-0.02%	-0.02%	-0.02%
ROA	1.33%	1.29%	1.30%	1.09%	1.18%	1.12%	1.21%	1.04%	1.14%	1.03%	1.03%	1.02%
RoRWA	3.27%	3.11%	3.27%	2.88%	3.15%	3.02%	3.28%	2.83%	3.11%	2.82%	2.79%	2.75%
Equity/Assets	9.13%	9.15%	9.18%	9.18%	9.24%	9.19%	8.98%	8.92%	8.84%	8.66%	8.64%	8.73%
ROE	14.6%	14.1%	14.2%	11.9%	12.8%	12.2%	13.5%	11.7%	12.8%	11.9%	11.9%	11.7%

Source: Company data, J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	20.4%	8.6%	16.3%	45.4%
Rel	12.3%	6.5%	10.7%	17.8%

Company Data

Shares O/S (mn)	4,490
52-week range (\$\$)	24.68-15.69
Market cap (\$ mn)	82,942
Exchange rate	1.29
Free float (%)	85.2%
3M ADV (mn)	6.69
3M ADV (\$ mn)	116.1
Volatility (90 Day)	19
Index	FTSTI
BBG ANR (Buy Hold Sell)	9 6 2

Key Metrics (FYE Dec)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	9,150	9,092	9,726	10,248
Non interest income	5,464	6,014	6,212	6,460
Operating expenses	(5,882)	(6,164)	(6,509)	(6,874)
Adj. PPOP	8,732	8,942	9,428	9,833
Provision for loan losses	(665)	(877)	(941)	(871)
Adj. PBT	9,123	9,240	9,631	10,388
Adj. net income	7,354	7,456	7,747	8,393
Adj. EPS	1.63	1.65	1.72	1.86
BBG EPS	1.64	1.69	1.80	1.91
DPS	0.99	1.00	1.02	1.12
Loans	336,692	352,928	371,350	390,573
Deposits	428,286	458,581	483,922	511,176
Total Assets	675,688	724,115	762,455	803,570
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	78.6%	77.0%	76.7%	76.4%
NPL / Loans	0.9%	1.0%	1.0%	1.1%
Coverage	137.1%	139.0%	132.1%	122.3%
CET 1	-	-	-	-
Non-int. income/ Income	37.4%	39.8%	39.0%	38.7%
Cost/Income	40.2%	40.8%	40.8%	41.1%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.2%)
ROA	1.1%	1.1%	1.0%	1.1%
ROE	12.5%	12.1%	11.9%	12.3%
Valuation				
Dividend yield	4.2%	4.2%	4.3%	4.7%
Adj. P/E	14.6	14.4	13.8	12.8
P/ BV	1.77	1.69	1.61	1.52

Summary Investment Thesis and Valuation

Investment Thesis

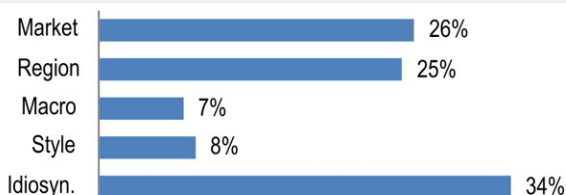
We are UW on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo the main acquisitions/stake increases in the last 20 years, with Lion Global a product of the merger between OCBC/GEH AMs. The group is generating a 1.08% RoA with ~11x leverage in 2026E.
- The track record suggests OCBC is more likely to use excess capital to buy, rather than increase payout significantly. While management is committed to the current S\$2.5bn capital return plan, visibility for further increases in payout is low in 2026. Further, the bank's track record on inorganic growth could lead to near-term risks if growth is via inorganic means and transactions are not immediately accretive.
- Risk/reward has turned negative following the stock price strength. The stock currently trades at a 1.7x 2026E P/B for a ~12% ROE, while concerns about a WM fee slowdown could be a catalyst for stock price weakness following China's policy announcement on ODI.

Valuation

Our Jun-27 PT of S\$20 is based on a fair P/B of 1.34x, assuming a normalized RoE of 12.2%, a risk-free rate of 4.1%, a cost of capital of 10.2% and a growth rate of 4.3%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.21	0.52
Region: Singapore	0.67	0.60
Macro:		
HSI Volatility Index	-0.08	-0.32
Generic 1st 'CO' Future	-0.30	-0.21
JPM Global Equity Sentiment	0.12	0.17
Quant Styles:		
Value	0.38	0.35
LowVol	0.43	0.29
DivYld	0.36	0.27

Investment Thesis, Valuation and Risks

OCBC Bank *(Underweight; Price Target: S\$20.00)*

Investment Thesis

We are UW on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo the main acquisitions/stake increases in the last 20 years, with Lion Global a product of the merger between OCBC/GEH AMs. The group is generating a 1.08% RoA with ~11x leverage in 2026E.
- The track record suggests OCBC is more likely to use excess capital to buy, rather than increase payout significantly. While management is committed to the current S\$2.5bn capital return plan, visibility for further increases in payout is low in 2026. Further, the bank's track record on inorganic growth could lead to near-term risks if growth is via inorganic means and transactions are not immediately accretive.
- We expect S\$1 DPS in 2026. This assumes a 50% regular payout, as well as the payout of the remaining S\$780mn as special dividend. Beyond FY26, we expect the bank to sustain its total payout close to 60%.
- The bank is benefitting from significant inflows of funds into Singapore and in SGD. This should support NII, though a reduction in credit spreads is a risk, given macro uncertainties. We expect a 1.74% NIM in FY26 vs. 1.91% in FY25.
- Risk/reward has turned negative following the stock price strength. The stock currently trades at a 1.7x 2026E P/B for a ~12% ROE, while concerns about a WM fee slowdown could be a catalyst for stock price weakness following China's policy announcement on ODI.

Valuation

Our Jun-27 PT of S\$20 is based on a fair P/B of 1.34x, assuming a normalized RoE of 12.2%, a risk-free rate of 4.1%, a cost of capital of 10.2% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside risks include a significant improvement in DPS, a meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which could drive faster growth at the group.

Downside risks include weaker-than-expected NIMs, a significant slowdown in NNM, market share losses in wealth management, a lack of increases in capital return, and M&A, if transactions are not immediately accretive.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	22,444	20,076	19,032	19,627	20,688	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,689)	(10,926)	(9,940)	(9,902)	(10,440)	Deposits with banks	77,006	68,698	74,641	72,000	71,176
Net interest income	9,755	9,150	9,092	9,726	10,248	Net loans	315,096	336,692	352,928	371,350	390,573
Non interest income	4,718	5,464	6,014	6,212	6,460	PP&E	3,725	4,041	4,243	4,455	4,678
o/w Fee income	1,970	2,411	2,676	2,810	2,922	Net intangibles	4,504	4,360	4,360	4,360	4,360
o/w Trading income	1,831	1,984	2,087	2,101	2,185	LT investments	113,454	141,505	161,316	177,447	193,418
Net revenues	14,473	14,614	15,106	15,937	16,708	Other assets	111,265	120,392	126,627	132,843	139,365
Non interest expense	(5,742)	(5,882)	(6,164)	(6,509)	(6,874)	Total assets	625,050	675,688	724,115	762,455	803,570
o/w Employee costs	0	0	0	0	0	Interest earning assets	484,270	529,489	568,958	598,606	630,818
Pre-Prov. Profits	8,731	8,732	8,942	9,428	9,833	Deposits	390,687	428,286	458,581	483,922	511,176
Provisions	(690)	(665)	(877)	(941)	(871)	Borrowings	31,553	30,482	32,006	33,606	35,287
Adj. PBT	8,976	9,123	9,240	9,631	10,388	Other liabilities	144,580	155,500	169,122	177,310	185,902
Income taxes	(1,228)	(1,563)	(1,571)	(1,663)	(1,766)	Total liabilities	566,820	614,268	659,709	694,839	732,364
Minority interest	(161)	(138)	(145)	(152)	(160)	Shareholder equity	57,166	60,294	63,280	66,490	70,080
Adj. Net profit	7,519	7,354	7,456	7,747	8,393	Minority interests	1,064	1,126	1,126	1,126	1,126
PPOP per share	1.94	1.94	1.98	2.09	2.18	Total liabilities and Shareholder equity	625,050	675,688	724,115	762,455	803,570
Reported EPS	1.67	1.63	1.65	1.72	1.86	Interest bearing liabilities	433,805	474,048	506,631	534,214	563,816
Adj. EPS	1.67	1.63	1.65	1.72	1.86	Book Value Per Share	12.70	13.43	14.09	14.81	15.61
DPS	1.01	0.99	1.00	1.02	1.12	Tangible Book Value Per Share	12.47	13.18	13.84	14.56	15.36
Diluted shares outstanding	4,502	4,512	4,507	4,507	4,507	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	80.7%	78.6%	77.0%	76.7%	76.4%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.4%)	(1.4%)	(1.4%)
Investment/Assets	17.9%	19.6%	21.6%	22.8%	23.7%	NPLs/Loans	0.9%	0.9%	1.0%	1.0%	1.1%
Loan/Assets	51.0%	50.8%	49.9%	49.4%	49.3%	Loan loss reserves/NPLs	141.5%	140.3%	138.1%	135.4%	126.9%
Customer deposits/Liabilities	68.9%	69.7%	69.5%	69.6%	69.8%	NPL y/y growth	0.8%	14.2%	10.6%	10.0%	14.4%
LT debt/Liabilities	5.3%	5.3%	4.9%	4.8%	4.8%	Tier 1 ratio	17.8%	17.6%	17.4%	17.0%	17.4%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	CAR	-	-	-	-	-
Net interest margin	-	-	-	-	-	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Non interest income/Net revenue	32.6%	37.4%	39.8%	39.0%	38.7%	Return on equity (ROE)	13.7%	12.5%	12.1%	11.9%	12.3%
Non interest income/Avg. Assets	0.8%	0.8%	0.9%	0.8%	0.8%	Return on assets (ROA)	1.2%	1.1%	1.1%	1.0%	1.1%
Efficiency ratio	39.7%	40.2%	40.8%	40.8%	41.1%	Operating ROA	1.3%	1.2%	1.2%	1.1%	1.1%
Leverage ratio	7.0%	6.7%	6.7%	6.6%	6.8%	Pre-Tax ROA	1.5%	1.4%	1.3%	1.3%	1.3%
Revenue/Assets	2.4%	2.2%	2.2%	2.1%	2.1%	Pre-Provision ROA	1.4%	1.3%	1.3%	1.3%	1.3%
RORWA	3.2%	3.0%	2.9%	2.8%	2.8%	Tax rate	13.7%	17.1%	17.0%	17.3%	17.0%
RWA	236,288	248,845	267,923	289,733	305,357	Net loans y/y growth	7.6%	6.9%	4.8%	5.2%	5.2%
Avg. RWA	236,491	242,567	258,384	278,828	297,545	Assets y/y growth	7.5%	8.1%	7.2%	5.3%	5.4%
Avg. IEA	443,419	478,684	521,762	554,593	583,977	RWA y/y growth	(0.2%)	5.3%	7.7%	8.1%	5.4%
Gross Loans	319,166	341,120	357,891	376,539	396,069	Deposits y/y growth	7.4%	9.6%	7.1%	5.5%	5.6%
Avg. IBL	414,257	449,353	485,399	515,179	543,484	Net interest income y/y growth	1.1%	(6.2%)	(0.6%)	7.0%	5.4%
LLR	(4,070)	(4,428)	(4,964)	(5,189)	(5,496)	Revenues y/y growth	7.2%	1.0%	3.4%	5.5%	4.8%
NPLs	2,827	3,229	3,570	3,928	4,493	Adj. EPS y/y growth	7.7%	(2.4%)	1.5%	3.9%	8.3%
P/BV (x)	1.87	1.77	1.69	1.61	1.52	BVPS y/y growth	7.9%	5.7%	5.0%	5.1%	5.4%
Adj. P/E (x)	14.3	14.6	14.4	13.8	12.8	IE assets/Assets	73.5%	73.6%	74.5%	74.6%	74.6%
Dividend yield	4.2%	4.2%	4.2%	4.3%	4.7%	Margins (as % of Avg. Assets)	1.5%	1.3%	1.2%	1.2%	1.2%
Dividend payout	60.5%	60.7%	60.5%	59.3%	60.1%	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.2%)
						Equity/Assets	9.1%	9.0%	8.8%	8.7%	8.7%
						Cost/Assets	1.0%	0.9%	0.9%	0.9%	0.9%
						Assets/Equity	11.0	11.1	11.3	11.5	11.5

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data).Fiscal year ends Dec

Underweight

UOBH.SI, UOB SP

Price (09 Jun 26): S\$38.38

▲ **Price Target (Jun-27): S\$35.00**

Prior (Jun-27): S\$33.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (S\$)	3.20	3.34	4.1%
Adj. EPS - 27E (S\$)	3.46	3.59	3.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS (S\$)	2025A	2026E	2027E
Q1	0.88	0.86A	
Q2	0.79	0.81	
Q3	0.25	0.83	
Q4	0.84	0.83	
FY	2.76	3.34	3.59

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	1	1	1	4	7
Growth	16	34	25	22	4
Momentum	49	76	25	37	16
Quality	10	16	16	10	4
Low Vol	22	28	10	34	4
ESGQ	21	23	84	93	87

United Overseas Bank (UOB)

Limited catalysts across WM and dividend, watching AQ risks

The stock has underperformed peers and is trading at an 11.5x/1.2x 2026E PE/PB. However, UOB has lagged peers in WM (S\$198bn AUM vs. S\$492bn at DBS and S\$342bn at OCBC) and NNM (S\$1bn in 1Q). Further, the bank has the largest EM ASEAN exposure among SG banks, at ~21%, which could see higher risk with current oil price moves. We believe this, along with buffers at management target levels (1% GP/performing loans), could lead to a negative surprise on credit costs in a scenario where AQ stress comes through. We expect the bank to stay at a 50% payout, leading to a low dividend yield (4.3% for 2026E). We are UW on UOB.

Valuation

Table 16: UOB: Valuation

	Net Inc (S\$ mn)	EPS (S\$)	P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	4,003	2.39	16.0	24.1	1.59	1.20	3.1%	0.90%	1.65%	10.2%
2022	4,485	2.68	14.3	24.2	1.58	1.35	3.5%	0.98%	1.73%	11.7%
2023	5,615	3.36	11.4	26.0	1.48	1.70	4.4%	1.16%	2.10%	14.2%
2024	5,946	3.56	10.8	28.1	1.37	2.05	5.3%	1.16%	2.22%	13.6%
2025	4,583	2.76	13.9	29.4	1.31	1.81	4.7%	0.83%	1.71%	9.6%
2026E	5,481	3.34	11.5	30.9	1.24	1.67	4.3%	0.93%	1.93%	11.1%
2027E	5,834	3.59	10.7	32.7	1.17	1.80	4.7%	0.94%	1.95%	11.3%
2028E	6,394	3.98	9.6	34.7	1.10	1.99	5.2%	0.98%	2.03%	11.8%
Price (S\$)	38.38	Number of shares (mn)		1,652	Market Cap (S\$ mn)		63,410			

Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.62%	Risk-free rate	4.15%	Fair PE	9.29x
Non-IR/revenues	32.3%	Cost of capital	11.0%	12m Rolling EPS	S\$3.45
Cost/Income	44.0%	Long term growth	4.10%	PE based 12M Fwd Fair Value	S\$32.0
Operating RoA	1.34%	Fair PB	1.05x	Implied Value of Growth	
LLP/Loans	-0.33%	PV of Terminal Value	S\$30.0	12m Rolling EPS	S\$3.45
Net RoAA	0.95%	PV of Dividends	S\$1.6	Capitalized Value (S\$)	\$31.45
Equity/Assets	8.4%	PV of today's Fair Value	S\$31.6	Value of Growth (S\$)	\$6.93
Normalised RoE	11.3%	PB based 12m fwd fair value	S\$35.1	Attributable to Growth	18.1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 9 June 2026.

Annual forecasts

Table 17: UOB: Annual P&L

S\$ in million	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	12,557	9,623	8,204	12,862	22,242	23,259	20,676	19,158	19,858	20,905
Interest Expense	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(11,321)	(9,659)	(9,845)	(10,369)
Net Interest Income	6,563	6,036	6,388	8,343	9,679	9,674	9,355	9,499	10,013	10,536
Non-Interest Income	3,467	3,141	3,401	3,232	4,253	4,620	4,453	4,546	4,768	5,005
Net Fee income	2,032	1,997	2,412	2,143	2,235	2,395	2,569	2,646	2,805	2,973
Trading income	1,116	880	730	829	1,690	2,003	1,574	1,574	1,605	1,638
Other operating income	319	264	259	260	328	222	310	326	358	394
Total Revenues	10,030	9,177	9,789	11,575	13,932	14,294	13,808	14,045	14,781	15,540
Costs	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,157)	(6,314)	(6,499)	(6,691)
PPOP	5,558	4,992	5,476	6,559	8,155	8,220	7,651	7,731	8,282	8,849
Loan loss provisions	(450)	(1,595)	(629)	(627)	(784)	(873)	(1,901)	(1,159)	(1,302)	(1,207)
Other provisions	15	42	(28)	21	(161)	(81)	(172)	(7)	-	-
Other income	51	98	118	97	93	121	79	95	102	108
Pre-Tax	5,174	3,536	4,937	6,050	7,303	7,387	5,657	6,660	7,081	7,750
Tax	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(962)	(1,066)	(1,133)	(1,240)
MI & EO	(18)	(15)	(12)	(10)	(14)	(14)	(13)	(15)	(16)	(18)
Core Profit	4,343	2,915	4,075	4,819	6,061	6,233	4,682	5,579	5,932	6,493
Attributable profits	4,249	2,825	4,003	4,731	5,965	6,134	4,583	5,481	5,834	6,394

Source: Company data, J.P. Morgan estimates.

Table 18: UOB: Annual DuPont

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	1.89%	1.79%	1.80%	1.80%
IEA/Assets	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	89.1%	90.1%	90.2%	90.3%
Margins (% of avg. Assets)	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.69%	1.62%	1.62%	1.62%
Non-IR contribution	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	32.2%	32.4%	32.3%	32.2%
Non-IR/Avg. Assets	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.80%	0.77%	0.77%	0.77%
Revenue/Assets	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.49%	2.39%	2.39%	2.39%
Cost/Income	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	44.6%	45.0%	44.0%	43.1%
C/Assets	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.11%	1.07%	1.05%	1.03%
Pre-Provision ROA	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.38%	1.32%	1.34%	1.36%
LLP/Loans	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.55%	-0.32%	-0.35%	-0.31%
Loan/Assets	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	62.2%	60.8%	60.3%	60.5%
Other Income/Assets	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	-0.02%	0.01%	0.02%	0.02%
Operating ROA	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.04%	1.12%	1.13%	1.18%
Pre-Tax ROA	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.02%	1.13%	1.15%	1.19%
Tax Rate	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-17.0%	-16.0%	-16.0%	-16.0%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.07%	0.68%	0.90%	0.98%	1.16%	1.16%	0.83%	0.93%	0.94%	0.98%
ROA	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	0.83%	0.93%	0.94%	0.98%
RoRWA	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	1.71%	1.93%	1.95%	2.03%
Equity/Assets	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.61%	8.42%	8.35%	8.33%
Core ROE	11.7%	7.5%	10.2%	11.7%	14.2%	13.6%	9.6%	11.1%	11.3%	11.8%
ROE	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	9.6%	11.1%	11.3%	11.8%

Source: Company data, J.P. Morgan estimates.

Quarterly forecasts

Table 19: UOB: Quarterly P&L

S\$ in million	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Interest Income	5,855	5,706	5,791	5,907	5,493	5,179	5,012	4,992	4,830	4,759	4,743	4,826
Interest Expense	(3,493)	(3,305)	(3,331)	(3,456)	(3,084)	(2,843)	(2,747)	(2,647)	(2,506)	(2,406)	(2,351)	(2,396)
Net Interest Income	2,362	2,401	2,460	2,451	2,409	2,336	2,265	2,345	2,324	2,354	2,392	2,430
Non-Interest Income	1,161	1,075	1,374	1,010	1,248	1,129	1,133	943	1,099	1,126	1,165	1,156
Net Fee income	580	618	630	567	694	636	615	624	637	662	676	671
Trading income	521	406	709	367	466	414	479	215	405	373	402	394
Other operating income	60	51	35	76	88	79	39	104	57	91	87	91
Total Revenues	3,523	3,476	3,834	3,461	3,657	3,465	3,398	3,288	3,423	3,480	3,556	3,585
Costs	(1,475)	(1,452)	(1,590)	(1,558)	(1,559)	(1,535)	(1,535)	(1,529)	(1,523)	(1,566)	(1,600)	(1,626)
PPOP	2,048	2,024	2,244	1,903	2,097	1,930	1,863	1,759	1,899	1,914	1,957	1,960
Loan loss provisions	(186)	(194)	(281)	(212)	(290)	(274)	(1,166)	(171)	(203)	(321)	(324)	(310)
Other provisions	16	(44)	(30)	(23)	(7)	(14)	(202)	51	(7)	0	0	0
Other income	26	30	25	40	22	(3)	25	35	23	24	24	24
Pre-Tax	1,904	1,816	1,958	1,708	1,822	1,639	520	1,674	1,712	1,617	1,657	1,673
Tax	(317)	(307)	(299)	(219)	(310)	(317)	(82)	(253)	(263)	(259)	(265)	(279)
MI & EO	(22)	(22)	(22)	51	(22)	16	5	(12)	(12)	(1)	(1)	(1)
Core Profit	1,566	1,488	1,638	1,540	1,490	1,338	443	1,409	1,437	1,357	1,391	1,393
Attributable profit	1,487	1,424	1,610	1,523	1,490	1,338	443	1,409	1,437	1,357	1,391	1,393
Preference dividends	25	25	25	25	25	25	25	25	25	25	25	25
Core Profits for SHs	1,541	1,463	1,613	1,515	1,466	1,313	418	1,384	1,413	1,333	1,366	1,369
Profits for SHs	1,462	1,399	1,585	1,498	1,466	1,313	418	1,384	1,413	1,333	1,366	1,369

Source: Company data, J.P. Morgan estimates.

Table 20: UOB: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.02%	2.05%	2.05%	2.00%	2.00%	1.91%	1.82%	1.84%	1.82%	1.80%	1.78%	1.78%
IEA/Assets	90.5%	91.3%	90.2%	90.3%	90.8%	91.2%	90.3%	89.7%	90.4%	90.4%	90.4%	90.4%
Margins (% of avg. Assets)	1.83%	1.87%	1.85%	1.81%	1.82%	1.74%	1.64%	1.65%	1.64%	1.63%	1.61%	1.61%
Non-IR contribution	33.0%	30.9%	35.8%	29.2%	34.1%	32.6%	33.3%	28.7%	32.1%	32.4%	32.8%	32.2%
Non-IR/Avg. Assets	0.89%	0.83%	1.04%	0.75%	0.93%	0.84%	0.83%	0.67%	0.77%	0.78%	0.79%	0.77%
Revenue/Assets	2.71%	2.69%	2.90%	2.56%	2.72%	2.58%	2.49%	2.33%	2.39%	2.40%	2.42%	2.40%
Cost/Income	41.9%	41.8%	41.5%	45.0%	42.6%	44.3%	45.2%	46.5%	44.5%	45.0%	45.0%	45.3%
C/Assets	1.14%	1.13%	1.20%	1.15%	1.16%	1.14%	1.12%	1.08%	1.06%	1.08%	1.09%	1.09%
Pre-Provision ROA	1.58%	1.57%	1.70%	1.41%	1.56%	1.44%	1.36%	1.25%	1.33%	1.32%	1.33%	1.31%
LLP/Loans	-0.23%	-0.24%	-0.34%	-0.25%	-0.34%	-0.32%	-1.34%	-0.19%	-0.23%	-0.36%	-0.36%	-0.34%
Loan/Assets	62.0%	63.0%	62.5%	62.2%	63.1%	63.6%	63.5%	62.4%	61.6%	61.4%	60.9%	60.4%
Operating ROA	1.43%	1.42%	1.48%	1.25%	1.34%	1.23%	0.51%	1.13%	1.18%	1.10%	1.11%	1.10%
Pre-Tax ROA	1.47%	1.41%	1.48%	1.27%	1.36%	1.22%	0.38%	1.19%	1.20%	1.12%	1.13%	1.12%
Tax Rate	-16.6%	-16.9%	-15.2%	-12.8%	-17.0%	-19.3%	-15.8%	-15.1%	-15.4%	-16.0%	-16.0%	-16.7%
Minorities & Outside Int.	-0.02%	-0.02%	-0.02%	0.04%	-0.02%	0.01%	0.00%	-0.01%	-0.01%	0.00%	0.00%	0.00%
Core ROA	1.19%	1.13%	1.22%	1.12%	1.09%	0.98%	0.31%	0.98%	0.99%	0.92%	0.93%	0.92%
ROA	1.13%	1.08%	1.20%	1.11%	1.09%	0.98%	0.31%	0.98%	0.99%	0.92%	0.93%	0.92%
RoRWA	2.12%	2.00%	2.36%	2.34%	2.22%	1.96%	0.62%	2.02%	2.04%	1.90%	1.91%	1.89%
Equity/Assets	8.49%	8.66%	8.54%	8.60%	8.89%	8.95%	8.65%	8.47%	8.59%	8.73%	8.70%	8.50%
Core ROE	14.0%	13.1%	14.3%	13.1%	12.3%	10.9%	3.5%	11.6%	11.5%	10.5%	10.7%	10.8%
ROE	13.3%	12.5%	14.0%	12.9%	12.3%	10.9%	3.5%	11.6%	11.5%	10.5%	10.7%	10.8%

Source: Company data, J.P. Morgan estimates

Price Performance



	YTD	1m	3m	12m
Abs	9.5%	5.0%	8.1%	8.7%
Rel	1.4%	2.9%	2.5%	-18.9%

Company Data

Shares O/S (mn)	1,652
52-week range (\$\$)	39.50-33.25
Market cap (\$ mn)	49,217
Exchange rate	1.29
Free float (%)	86.0%
3M ADV (mn)	2.97
3M ADV (\$ mn)	85.3
Volatility (90 Day)	16
Index	FTSTI
BBG ANR (Buy Hold Sell)	5 11 1

Key Metrics (FYE Dec)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	9,355	9,499	10,013	10,536
Non interest income	4,453	4,546	4,768	5,005
Operating expenses	(6,157)	(6,314)	(6,499)	(6,691)
Adj. PPOP	7,651	7,731	8,282	8,849
Provision for loan losses	(1,901)	(1,159)	(1,302)	(1,207)
Adj. PBT	5,657	6,660	7,081	7,750
Adj. net income	4,583	5,481	5,834	6,394
Adj. EPS	2.76	3.34	3.59	3.98
BBG EPS	2.81	3.39	3.65	3.93
DPS	1.81	1.67	1.80	1.99
Loans	347,877	357,351	377,617	396,108
Deposits	425,938	448,816	469,857	491,936
Total Assets	572,061	602,929	633,131	665,223
Margins and Growth				
NIM	1.9%	1.8%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	81.7%	79.6%	80.4%	80.5%
NPL / Loans	1.5%	1.6%	1.7%	1.7%
Coverage	80.0%	80.2%	84.7%	86.4%
CET 1	15.1%	14.9%	15.0%	15.1%
Non-int. income/ Income	32.2%	32.4%	32.3%	32.2%
Cost/Income	44.6%	45.0%	44.0%	43.1%
LLP/Loans	(0.6%)	(0.3%)	(0.3%)	(0.3%)
ROA	0.8%	0.9%	0.9%	1.0%
ROE	9.6%	11.1%	11.3%	11.8%
Valuation				
Dividend yield	4.7%	4.3%	4.7%	5.2%
Adj. P/E	13.9	11.5	10.7	9.6
P/ BV	1.31	1.24	1.17	1.10

Summary Investment Thesis and Valuation

Investment Thesis

We are UW on UOB.

- The bank has lagged peers on WM (limited organic and inorganic build in the last 15 years) and on USD-denominated payments/deposits (26% at UOB vs. 40%/34% at DBS/OCBC). These factors, among others, likely led the bank to take too much risk in areas linked to property in Asia and the US over the last decade in a bid to generate better returns.
- Further, UOB has the largest EM ASEAN exposure among SG banks, at ~21%, which could see higher risk with current oil price moves. We believe this, along with buffers at management target levels (1% GP/performing loans), could lead to a negative surprise on credit costs in a scenario where AQ stress comes through.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS is at risk, as well. This could limit the upside for the stock.
- We expect ROE to be closer to 11% in 1H26 vs. 12-13% in 4Q24/1Q25. We expect the stock to offer a more balanced risk/return trade-off closer to the mean 1-1.1x fwd P/B, which would price in a degree of lingering AQ risks.

Valuation

Our Jun-27 PT of S\$35 is based on a fair P/B of 1.05x with a normalized RoE of 11.3%, a risk-free rate of 4.15%, a cost of capital of 11% and a growth rate of 4.1%.

Performance Drivers

Market	12%
Region	27%
Macro	24%
Style	3%
Idiosyn.	34%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.13	0.46
Region: Singapore	0.70	0.67
Macro:		
JP Morgan EMBI Global Spread	-0.15	-0.31
HSI Volatility Index	-0.09	-0.31
Generic 1st 'CO' Future	-0.46	-0.24
Quant Styles:		
Size	-0.38	-0.24
Value	0.09	0.22
Momentum	-0.26	-0.20

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Underweight; Price Target: S\$35.00)*

Investment Thesis

We are UW on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. This may change over the next few quarters, as asset quality risks could remain elevated.
- The bank has lagged peers on WM (limited organic and inorganic build in the last 15 years) and on USD-denominated payments/deposits (26% at UOB vs. 40%/34% at DBS/OCBC). These factors, among others, likely led the bank to take too much risk in areas linked to property in Asia and the US over the last decade in a bid to generate better returns. Accordingly, we are witnessing an increase in credit risk from 2025.
- Further, UOB has the largest EM ASEAN exposure among SG banks, at ~21%, which could see higher risk with current oil price moves. We believe this, along with buffers at management target levels (1% GP/performing loans), could lead to a negative surprise on credit costs in a scenario where AQ stress comes through.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS is at risk, as well. This could limit the upside for the stock.
- We expect ROE to be closer to 11% in 1H26 vs. 12-13% in 4Q24/1Q25. We expect the stock to offer a more balanced risk/return trade-off closer to the mean 1-1.1x fwd P/B, which would price in a degree of lingering AQ risks.
- Following increased spend in the last two years, the bank is better positioned to focus on efficiency, in our view, which could pose an upside risk.

Valuation

Our Jun-27 PT of S\$35 is based on a fair P/B of 1.05x with a normalized RoE of 11.3%, a risk-free rate of 4.15%, a cost of capital of 11% and a growth rate of 4.1%.

Risks to Rating and Price Target

Upside risks include better-than-expected delivery on AQ, with a sustained normalization of NPA formation and credit costs. On PPoP, the bank's ability to manage wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks to costs. Any acceleration in WM would be positive.

Downside catalysts include credit cost increases, growth and NIM disappointments, and lower-than-expected dividends and buybacks. Higher operating costs would also be a downside catalyst. Higher-than-anticipated digital investment spending could be a drag on profitability.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	23,259	20,676	19,158	19,858	20,905	Cash and cash equivalents	0	0	0	0	0
Interest expense	(13,585)	(11,321)	(9,659)	(9,845)	(10,369)	Deposits with banks	76,009	68,696	75,283	75,663	79,150
Net interest income	9,674	9,355	9,499	10,013	10,536	Net loans	333,930	347,877	357,351	377,617	396,108
Non interest income	4,620	4,453	4,546	4,768	5,005	PP&E	4,852	5,454	5,727	5,956	6,194
o/w Fee income	2,395	2,569	2,646	2,805	2,973	Net intangibles	4,979	4,953	4,953	4,953	4,953
o/w Trading income	2,003	1,574	1,574	1,605	1,638	LT investments	96,625	121,343	134,691	142,772	151,339
Net revenues	14,294	13,808	14,045	14,781	15,540	Other assets	21,269	23,738	24,925	26,171	27,480
Non interest expense	(6,074)	(6,157)	(6,314)	(6,499)	(6,691)	Total assets	537,664	572,061	602,929	633,131	665,223
o/w Employee costs	(3,699)	(3,413)	(3,481)	(3,586)	(3,693)	Interest earning assets	510,465	542,219	572,062	601,517	632,665
Pre-Prov. Profits	8,220	7,651	7,731	8,282	8,849	Deposits	403,978	425,938	448,816	469,857	491,936
Provisions	(873)	(1,901)	(1,159)	(1,302)	(1,207)	Borrowings	61,102	73,160	78,368	83,869	89,806
Adj. PBT	7,199	5,657	6,660	7,081	7,750	Other liabilities	25,375	24,218	25,077	26,417	27,837
Income taxes	(1,140)	(962)	(1,066)	(1,133)	(1,240)	Total liabilities	490,455	523,316	552,261	580,142	609,579
Minority interest	(14)	(13)	(15)	(16)	(18)	Shareholder equity	46,985	48,521	50,444	52,765	55,421
Adj. Net profit	5,946	4,583	5,481	5,834	6,394	Minority interests	224	224	224	224	224
PPOP per share	4.92	4.60	4.71	5.10	5.51	Total liabilities and Shareholder equity	537,664	572,061	602,929	633,131	665,223
Reported EPS	3.56	2.76	3.34	3.59	3.98	Interest bearing liabilities	465,080	499,098	527,184	553,725	581,742
Adj. EPS	3.56	2.76	3.34	3.59	3.98	Book Value Per Share	28.11	29.37	30.89	32.69	34.74
DPS	2.05	1.81	1.67	1.80	1.99	Tangible Book Value Per Share	27.98	29.23	30.75	32.55	34.60
Diluted shares outstanding	1,672	1,662	1,643	1,624	1,605						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	82.7%	81.7%	79.6%	80.4%	80.5%	Loan loss reserves/Loans	(1.2%)	(1.2%)	(1.3%)	(1.4%)	(1.5%)
Investment/Assets	17.6%	19.6%	21.8%	22.4%	22.7%	NPLs/Loans	1.5%	1.5%	1.6%	1.7%	1.7%
Loan/Assets	62.1%	62.2%	60.8%	60.3%	60.5%	Loan loss reserves/NPLs	80.2%	77.8%	80.1%	82.6%	85.6%
Customer deposits/Liabilities	82.4%	81.4%	81.3%	81.0%	80.7%	NPL y/y growth	6.0%	4.2%	9.8%	9.2%	8.9%
LT debt/Liabilities	13.4%	13.2%	14.1%	14.3%	14.6%	Tier 1 ratio	16.6%	16.1%	14.9%	15.0%	15.1%
						CAR	18.2%	17.7%	16.4%	16.4%	16.4%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.0%	1.9%	1.8%	1.8%	1.8%	Return on equity (ROE)	13.1%	9.6%	11.1%	11.3%	11.8%
Non interest income/Net revenue	32.3%	32.2%	32.4%	32.3%	32.2%	Return on assets (ROA)	1.1%	0.8%	0.9%	0.9%	1.0%
Non interest income/Avg. Assets	0.9%	0.8%	0.8%	0.8%	0.8%	Operating ROA	1.4%	1.0%	1.1%	1.1%	1.2%
Efficiency ratio	42.5%	44.6%	45.0%	44.0%	43.1%	Pre-Tax ROA	1.4%	1.0%	1.1%	1.1%	1.2%
Leverage ratio	8.1%	8.0%	7.4%	7.4%	7.5%	Pre-Provision ROA	1.5%	1.4%	1.3%	1.3%	1.4%
Revenue/Assets	2.7%	2.5%	2.4%	2.4%	2.4%	Tax rate	15.8%	17.0%	16.0%	16.0%	16.0%
RORWA	2.2%	1.7%	1.9%	1.9%	2.0%						
RWA	259,835	275,990	292,420	307,069	322,633	Net loans y/y growth	5.3%	4.2%	2.7%	5.7%	4.9%
Avg. RWA	267,883	267,913	284,205	299,745	314,851	Assets y/y growth	2.7%	6.4%	5.4%	5.0%	5.1%
Avg. IEA	476,735	494,512	529,283	557,450	586,236	RWA y/y growth	(5.8%)	6.2%	6.0%	5.0%	5.1%
Gross Loans	337,831	352,180	362,088	383,082	402,177	Deposits y/y growth	4.8%	5.4%	5.4%	4.7%	4.7%
Avg. IBL	447,547	466,703	496,764	523,206	549,614	Net interest income y/y growth	(0.1%)	(3.3%)	1.5%	5.4%	5.2%
LLR	(3,901)	(4,303)	(4,738)	(5,465)	(6,069)	Revenues y/y growth	2.6%	(3.4%)	1.7%	5.2%	5.1%
NPLs	5,164	5,379	5,907	6,450	7,025	Adj. EPS y/y growth	6.0%	(22.5%)	21.0%	7.7%	10.9%
P/BV (x)	1.37	1.31	1.24	1.17	1.10	BVPS y/y growth	8.1%	4.5%	5.2%	5.8%	6.3%
Adj. P/E (x)	10.8	13.9	11.5	10.7	9.6	IE assets/Assets	89.8%	89.1%	90.1%	90.2%	90.3%
Dividend yield	5.3%	4.7%	4.3%	4.7%	5.2%	Margins (as % of Avg. Assets)	1.7%	1.6%	1.5%	1.5%	1.5%
Dividend payout	57.6%	65.6%	50.0%	50.0%	50.0%	LLP/Loans	(0.3%)	(0.6%)	(0.3%)	(0.3%)	(0.3%)
						Equity/Assets	8.5%	8.6%	8.4%	8.3%	8.3%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	11.7	11.6	11.9	12.0	12.0

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

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Singapore Exchange(SGXL.SI/S\$21.71/OW)

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OCBC Bank (OCBC.SI, OCBC SP) Price Chart



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United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



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Completed 10 Jun 2026 12:30 AM HKT

Disseminated 10 Jun 2026 12:31 AM HKT